

Defending Europe

Securing a Safe, Sovereign, and Resilient
Continent for Today and Tomorrow

THALES

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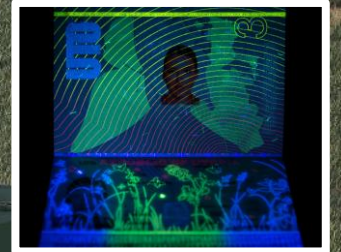
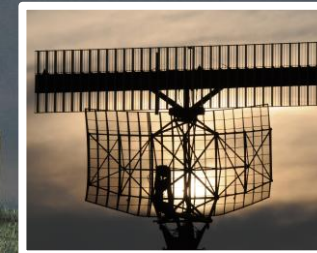


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Executive Summary

Acquisition of Tekever Outperforms a Merger with Rheinmetall

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TEKEVER

Why should Thales **NOT** merge with Rheinmetall ?

A leading European defense manufacturer specializing in armoured vehicles, munitions, and advanced land defense systems.

- **Financial Disadvantage:** A merger between Thales and Rheinmetall does not create value for Thales shareholders, because their ownership stake in the combined company makes it -€18.8bn less worth than Thales on a standalone basis (€85.6bn).
- **Strategic Dilution:** As leader in "heavy metal" (tanks/munitions). Merging would dilute Thales' identity as a high-margin AI, cyber, & space specialist, which shifts the portfolio from 20% CAGR tech-segments back toward cyclical, **low-margin industry**.
- **Political Deadlock:** Dual 'National Asset' status in FR and DE makes a full merger politically un navigable - government vetoes, regulatory delays and cultural misalignment are structural and not solvable. A disciplined JV captures the upside without the sovereign risk.

Why should Thales **ACQUIRE** Tekever ?

A fast-growing aerospace and defense technology company focused on autonomous UAV's and real-time intelligence solutions.

- **Market Dominance:** Leader in European maritime UAS with a **€30m EMSA contract** and a central role in the **€456m "Project OVERMATCH"**, which anchors its position in the high-growth shipborne and maritime ISR-as-a-Service market.
- **Combat-Proven AI:** **10,000+ flight hours** in Ukraine providing "data-gold" for Thales' **cortAIx** AI accelerator, which bypasses 5 years of R&D by acquiring battle-hardened autonomous target recognition (ATR) algorithms.
- **Sovereignty Play:** As a NATO Innovation Fund (NIF) backed unicorn, Tekever provides a protected **IP moat** against US-based disrupters, positioning Thales as the preeminent **sovereign EU tech prime**.

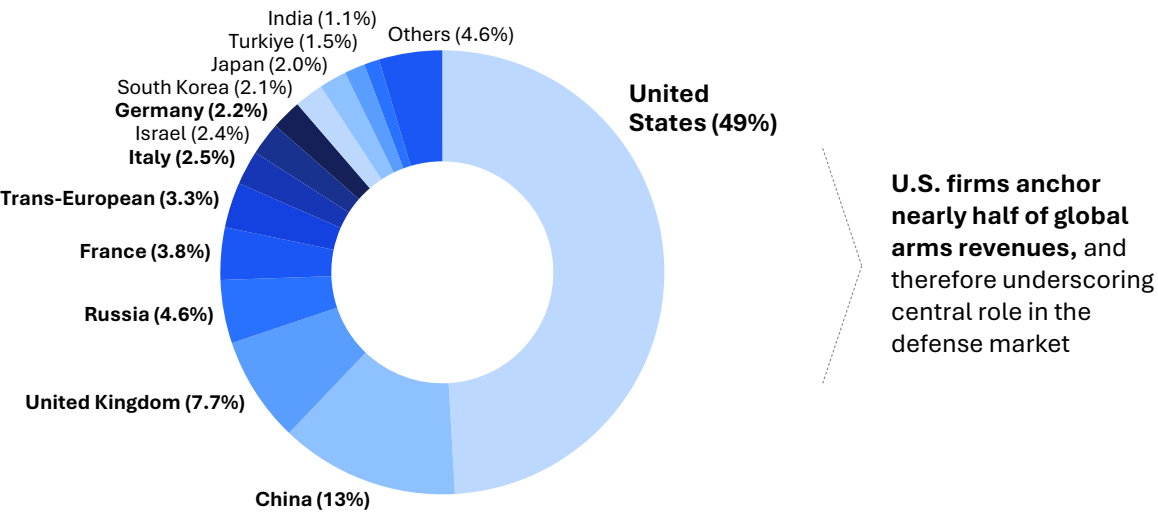
Roadmap to 2030: Two moves define Thales' future - a Tekever acquisition for AI and drone sovereignty and a deepened Rheinmetall JV for land-sector scale. Together, they accelerate Thales transition into the Sovereign EU Defence Tech Champion.

Global Defense Industry Overview

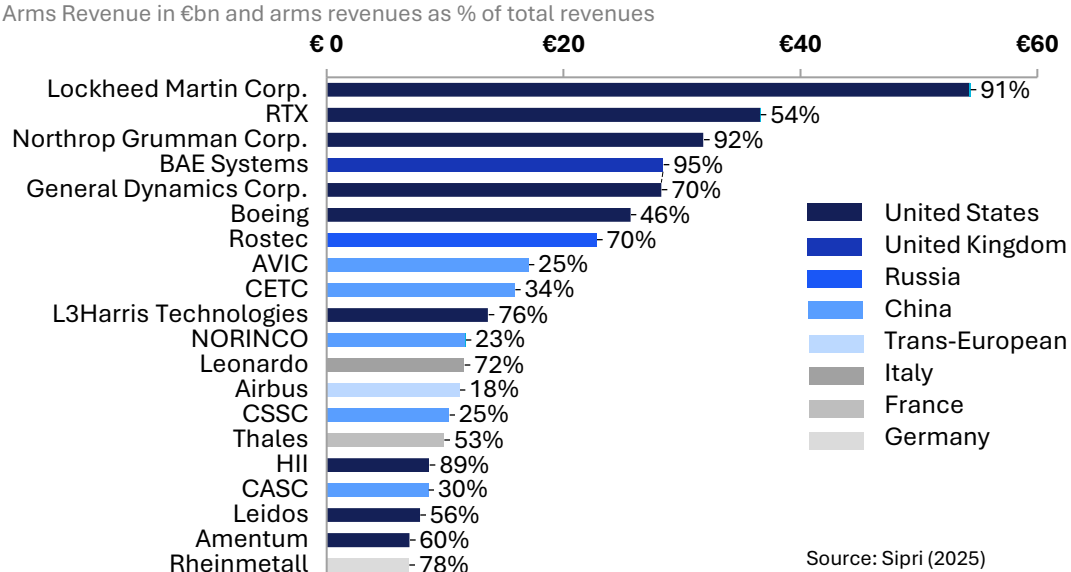
The Evolving Competitive Landscape: U.S. Leadership and the Emergence of New Tech Disruptors

THALES

Share of total Global Arms Revenues by Country (2024)



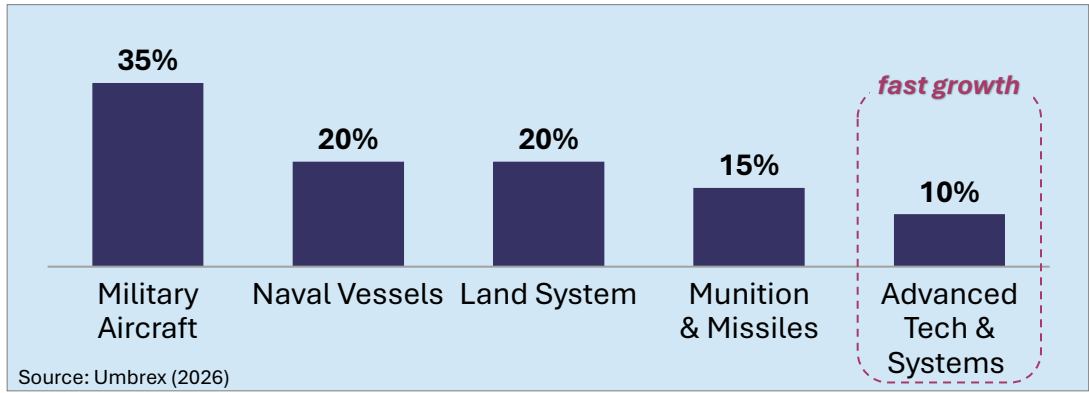
Top 20 Arms-producing and Military Services Companies worldwide (2024)



The Defense sector: dominated by a few global primes, supported by specialized mid-tier companies and reshaped by fast-moving tech entrants

1	Prime Contractors “System Owners” - Build complete platforms & weapon systems End-to-End: Lockheed Martin, RTX, Boeing, Northrop Grumman, BAE ...
2	Mid-Tier Contractors “Specialized Platform & Subsystem” - Provider in narrower domains, serve as key subsystem suppliers to primes: L3Harris, MBDA, Saab, Rheinmetall ...
3	Emerging Players “Tech Disruptors” - Bring software-first, innovations in AI, autonomy, cyber, space and robotics: SpaceX, Anduril, Palantir...

Estimated Global Defense Market Share per Product Categories



Market Segmentation

Segmenting Defense Growth: Product Categories, Trends, and Market Leaders



Defense markets gain momentum: Ukraine crisis, geopolitical uncertainties caused by the US and the arms race with China, but advanced technology trends in core categories and the electronics market setting the direction.

Product Category		Trend and Growth	Leading Companies	Global Defense Market Forecast In €bn 2024 2030	
	Modern military aircraft - High-cost and tech-intensive - Largest and most valuable	Demand remains strong 5th-generation fighters, upgrades of 4th-gen fleets, 6th-generation combat aircraft FCAS/Tempest in EU. Drones/UAVs key growth sub-segment	Lockheed Martin (U.S.) F-35, F-16 Boeing (U.S.) F-15EX, KC-46, Apache helicopters Airbus (Trans EU) Eurofighter Typhoon, A400M Dassault Aviation (FR) Rafale UAC (Russia) Sukhoi/MiG fighters AVIC (China) J-20 fighters, military drones	Aircraft 4.7% CAGR 41 53	
	Fighter Jets, Bombers, Transports, Helicopters, UAS...				
	Navals for maritime forces - Extremely expensive - Complex and individual	Investment rising Esp. Asia-Pacific and EU, driven by great-power competition at sea Nuclear-powered submarines (e.g. AUKUS) and unmanned naval vessels	General Dynamics (U.S) Submarines & Destroyers Huntington Ingalls Ind. (U.S.) Carriers, amphibious BAE Systems (UK), Naval Group (FR), Fincantieri (IT) ThyssenKrupp Marine Systems (DE) USC (Russia's), CSIC/CSGC (China)	Naval 4.7% CAGR 55 73	
	Aircraft carriers, Destroyers, Frigates, Corvettes, Submarines..				
	Land warfare Procured in large quantities	Highly in demand Ground forces (Patriot, Arrow-3, S-400 systems). Modern tanks and artillery, long-range rocket systems (U.S. HIMARS), artillery shells and air-defense . Improving battlefield networks and sensors.	General Dynamics (U.S.) M1 Abrams, Stryker APC - Krauss-Maffei & Rheinmetall (DE) Leopard 2, Puma IFV) BAE Systems (UK/US) – Bradley IFV, CV90, M109 artillery Oshkosh Defense (US – tactical trucks)	Land 5.4% CAGR 27 37	
	Main battle tanks, Armored vehicles, Artillery, Rocket & Air Defense Systems , Logistical/ Engineering vehicles, UAV...				
	Munitions & Missiles Procured in large quantities	High consumption driving Investment into new capacities. Innovation ongoing in precision weaponry: Loitering munitions (kamikaze drones) blurring with UAVs, hypersonic missiles as top R&D priority	Lockheed Martin (U.S.) major missile producers, jointly for Patriot SAMs, Javelin and Stinger missiles. RTX (Raytheon) (U.S.) MBDA (Airbus/BAE/Leonardo EU JV) NATO missiles (e.g. Meteor, Exocet). Small arms market is fragmented among firms	Ammunition 3.2% CAGR 19 25	
	Guided missiles (air-to-air, surface-to-air, anti-ship, etc.) Torpedoes, Bombs, Rockets, Artillery shells, Small arms & ammunition...			Missile 8.2% CAGR 19 31	

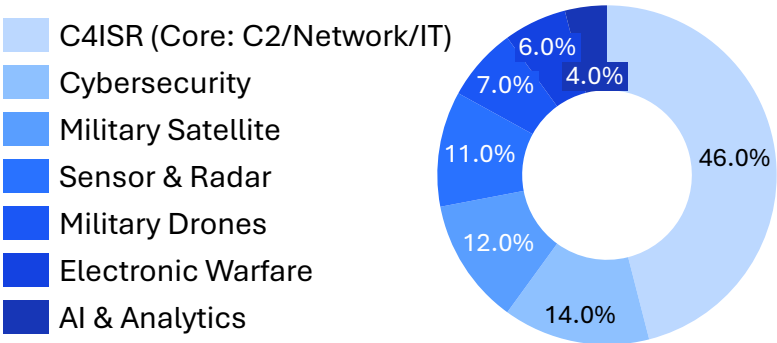
Electronic Sub-Segment Analysis

Advanced Technologies Driving Growth Across Defense Electronics Submarkets



Technology is advancing faster than ever, and most of this change is being driven by innovations from the civilian high-tech sector.

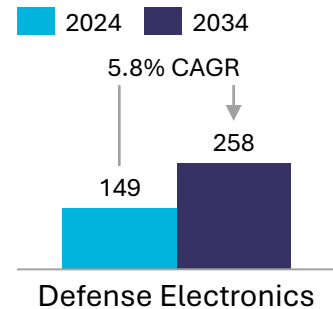
Market Share 2024 - Disjoint macro elements



Sub-markets gaining on momentum and **driving the growth**

Global defense Electronic

Market Size in €bn



Military Defense revolutions through technological change in certain areas



Digital battlefield & Multi-domain C2 (C4ISR / “software-defined”)

Shifting towards **connected, multi-domain networks** where **secure communications, sensors, cloud/edge computing** and **interoperability** are mission-critical e.g. **JADC2, France’s SCORPION** program ...



Space Surveillance and Electronic Warfare

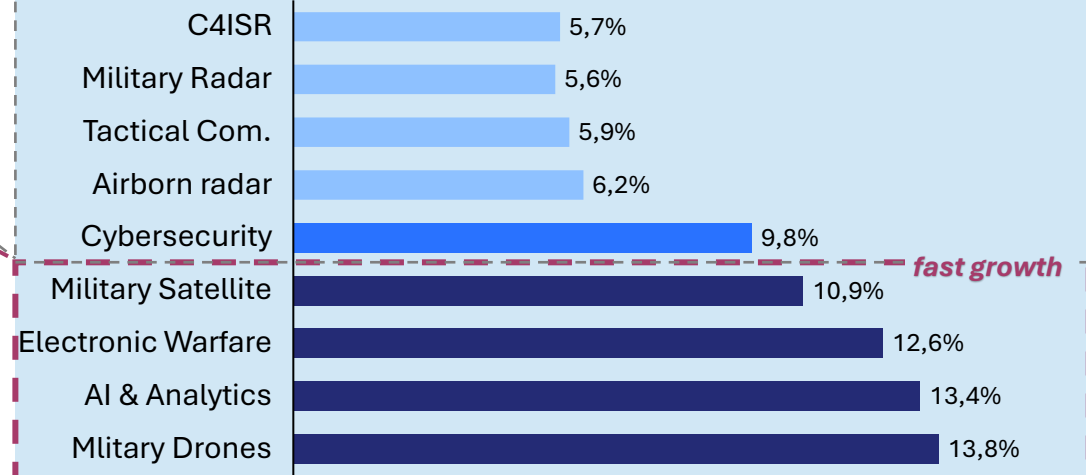
Driving investment in **secure, resilient, and anti-jamming networks**. Operational focus shifting from isolated to **protected force-wide connectivity and intelligence...**



AI Analytics, Autonomy Systems & Drones

Used for **intelligence**, decision support, and maintenance while **unmanned systems esp. drones** spread across all domains, **software-centric, low-cost ISR** and **strike capabilities...**

Defense Electronics Market and Submarkets - CAGR ('25 - '34)



Source: Gminsights (2024b-f, 2025a-c, 2026)

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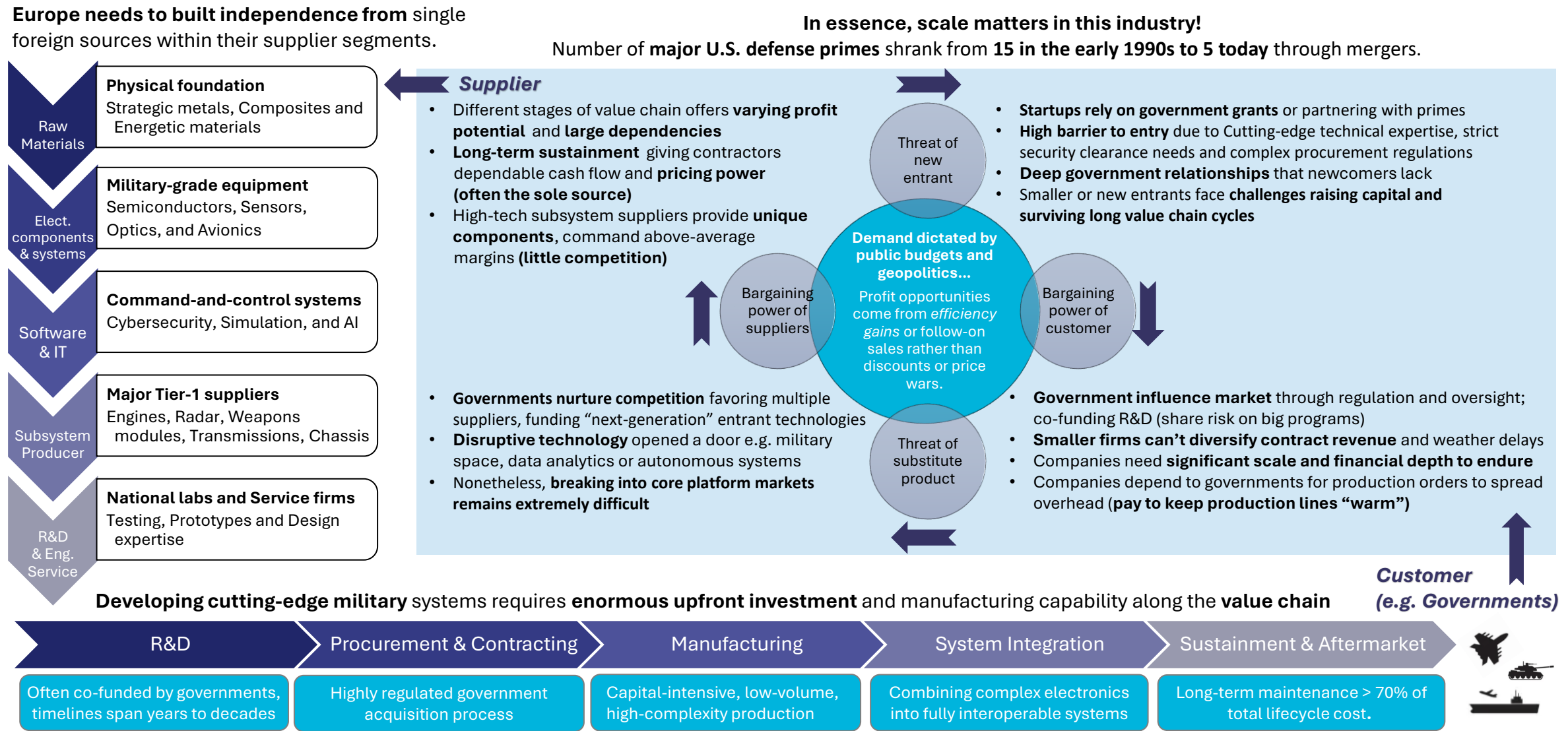
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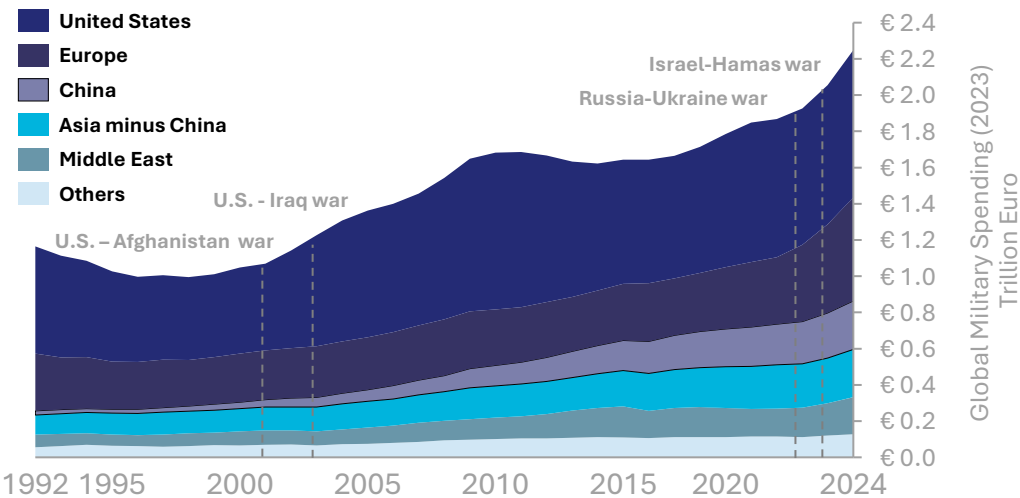


Global Defense Revitalization by Spending at Record Highs

Rise of Global Tensions shift Global Military Spendings and Europe's path forward

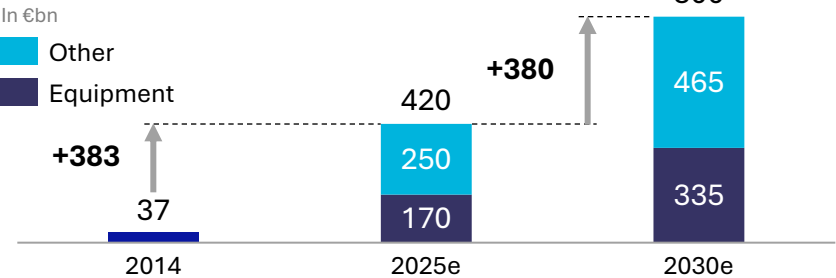
THALES

Business is booming for defense contractors; Global military spending surged from 2023 to 2024 by 9% to a €2.3tn record

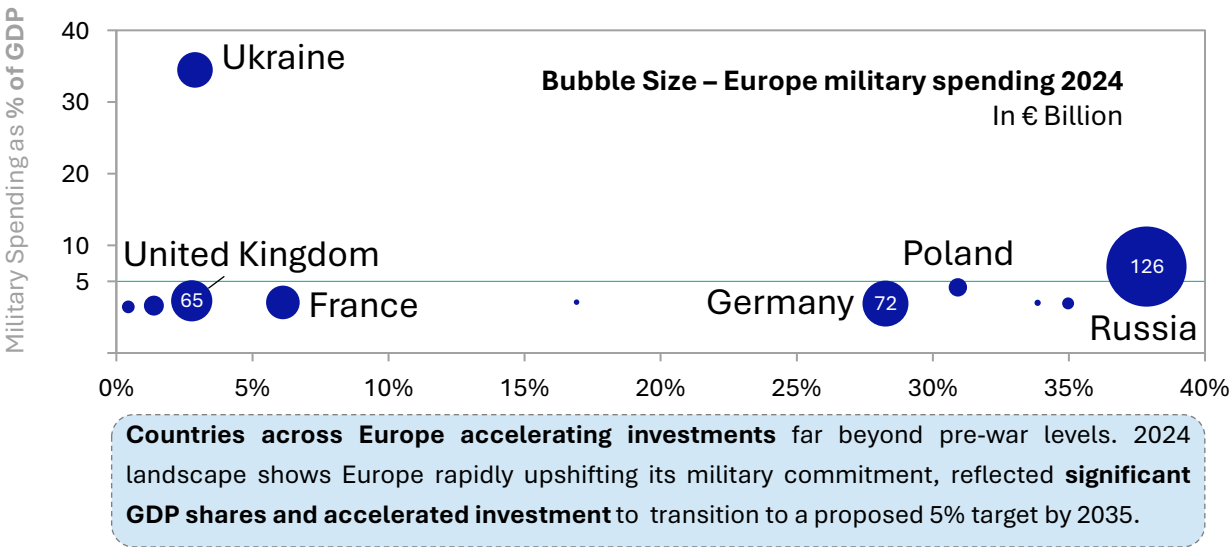


By 2030, European NATO Defense spending is set to rise by additional €380bn

Plus €465bn will cover personnel, military infrastructure, maintenance, and operations.



Military Spending in 2024 on Upwards Path



Trends driving reforms and securing Europe's future defense posture & capabilities

Equipment contains R&D, positioning Europe to surpass the United States' 2025 equipment spending level by 2028

By 2030, Europe plans to allocate €335B to defense equipment x9 to 2014 level and additional €165bn in 2025

1 NATO Modernization

2 Greater Strategic Autonomy

3 Techno-Democratic Partnerships

Sources: Goldman Sachs (2025), McKinsey (2025), Reuters (2025)

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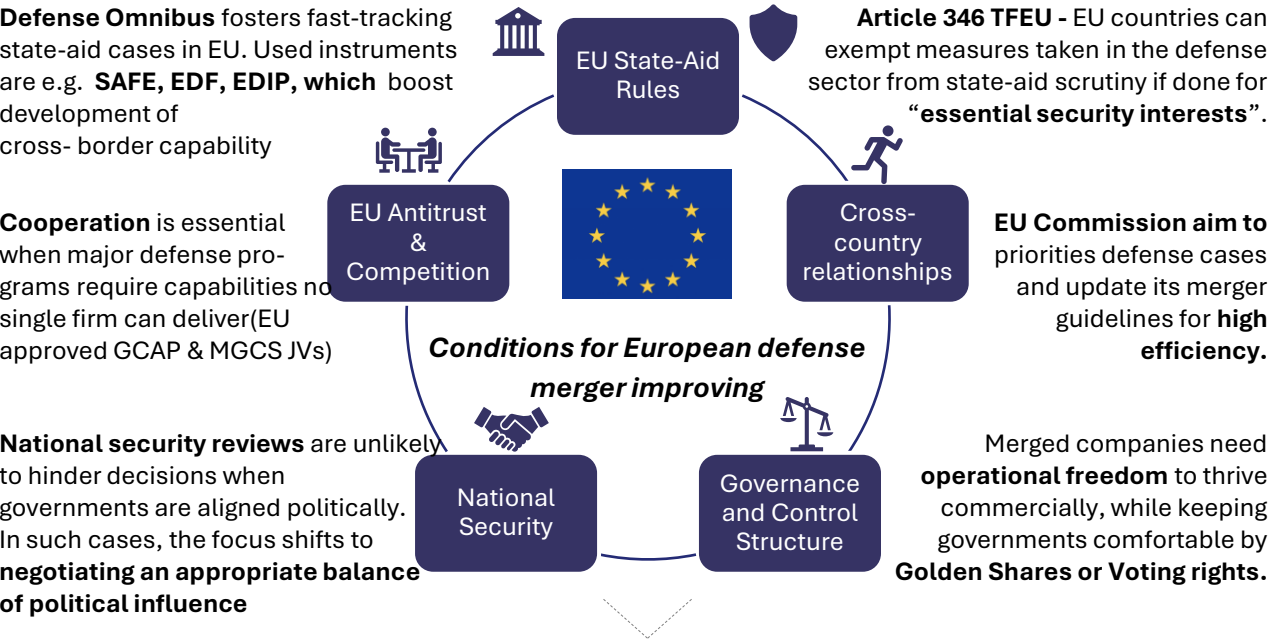
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Regulatory and Legal Landscape

Geopolitical Shifts and EU Regulatory Forces Reshaping Defense Consolidation



Europe is building an independent, EU-focused defense industry by increasing **strategic autonomy** and accelerating **defense consolidation and cooperation** to close capability gaps



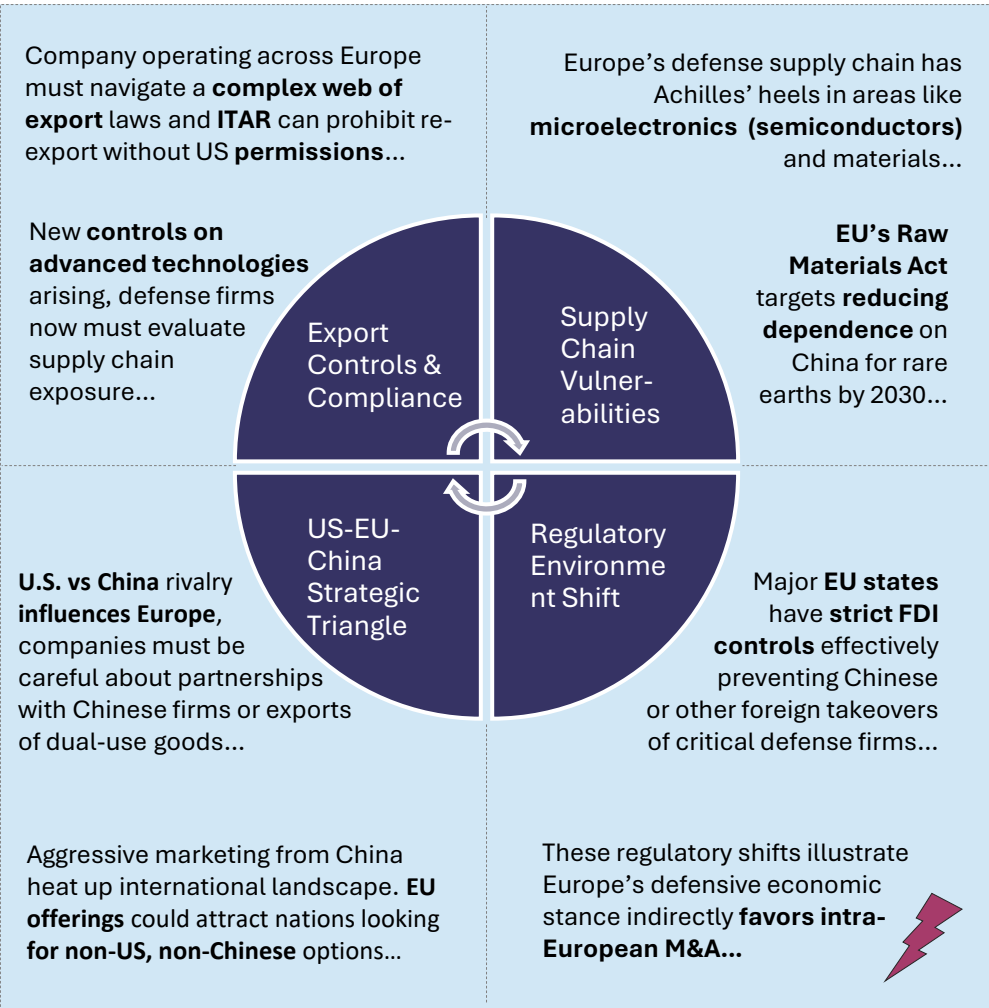
Alliances and Market Structure Shifts

Geopolitics reconfiguring significantly **defense collaboration and alliances**

- US, UK, Australia forming **AUKUS** (sharing submarine tech.)
- EU nations joint programs Franco-German-Spanish **FCAS**, UK-Italy-Japan **GCAP** fighter etc.

Partnering is key to complement capabilities and accelerating Innovations but companies must **navigate through current environmental factors**

Geopolitical and regulatory affects the defense industry’s playing field significantly, especially for Europe



Sources: Freshfields (2025), Goldman Sachs (2025), Hogan Lovells (2025), Oliver Wyman (2025), Taylor Wessing (2025)

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Thales

Global Footprint: HQ is located in Paris; worldwide ~83 k employees in 68+ countries

Heritage: Rebranded from Thomson-CSF in year 2000

Asset: To the French Government

Strategic Role: Mission-critical, high-trust technologies for governments & critical industries

Market Leadership: Supplies 1-in-3 secure civil identity documents globally

Company Overview

	DEFENSE & SECURITY	AEROSPACE	CYBER & DIGITAL
What we do	Protecting nations and critical infrastructure with advanced sensors and sovereign mission-critical systems.	Making aviation safer and greener while designing satellites for communication and Earth observation.	Protecting digital services from cyberattacks and supplying secure identity documents globally.
Key Figures	- No. 1 in EU defense Systems - No. 1 in EU defense Sensors	- No. 3 Worldwide Avionics - No. 1 in EU Satellites	- No. 3 Worldwide ID Data - No. 1 in EU Data Security
Sales Mix	88% defense / 12% Civil	23% defense / 77% Civil	100% Civil / 0% defense

Source :Thales Integrated report 2023-2024

Business Segment and Portfolio

Market Position & Competitive Landscape

Return on capital

0% 10% 15% 20%

0% 10% 15% 20%

● Defence ● Cyber ● Aerospace

Reflects Thales strong European anchor & growing global reach

Europe	62%
North America	14%
Asia	9%
Middle East	6%
Rest of the world	6%
Australia, New Zealand	4%

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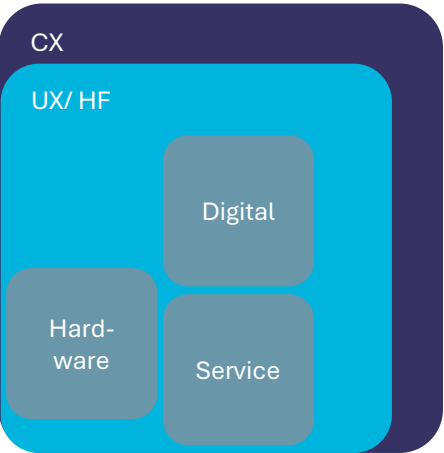
Overview on Project-specific JVs

MGCS Project Company GmbH Rheinmetall + KNDS (25% each) - German/French tank program	Space JV Airbus/Leonardo €6.5bn satellite consolidation - national security vetoes built-in
Thales Raytheon Systems NATO Air defense (50-50 US/EU)	Kongsberg Comms JV Norway sovereign communication – NATO interoperability
Out of Focus: Full M&A in political sensitive defense topics	

Commercial Partnerships for Cyber & OEM integration in aerospace

 Defense	 Communications	 Maritime
 Defense	 Electronics	 Defense
In Focus: Partnerships that drive Next-Generation Defense Capabilities		

Exemplary Products and Components per Business Unit



Defense:
Radars, armored vehicles, Radio, Networks, digital battlefield, Cybersecurity, Aptronics



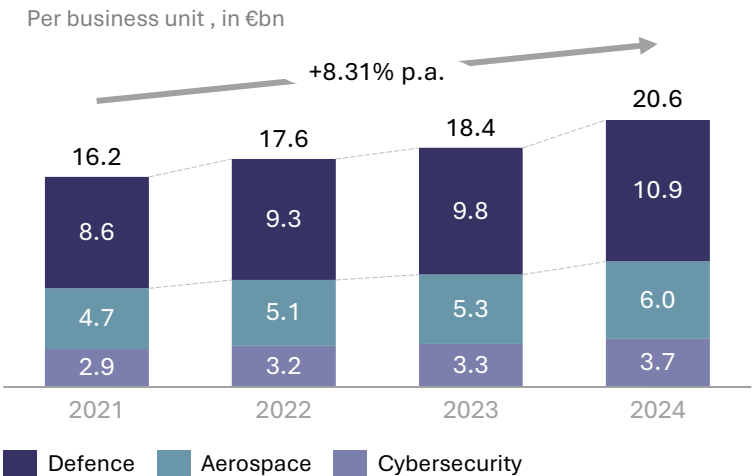
Aerospace:
Earth Data, Satellite, Navigation, Exploration, Drones, Trainings, Control Systems



Cyber & Digital:
Cybersecurity, Finance & Payment, Identification, Authentications

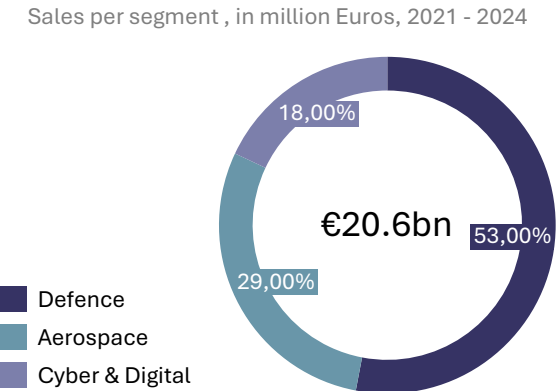


Defense Drives Thales’ Sales Growth (2021–2024)



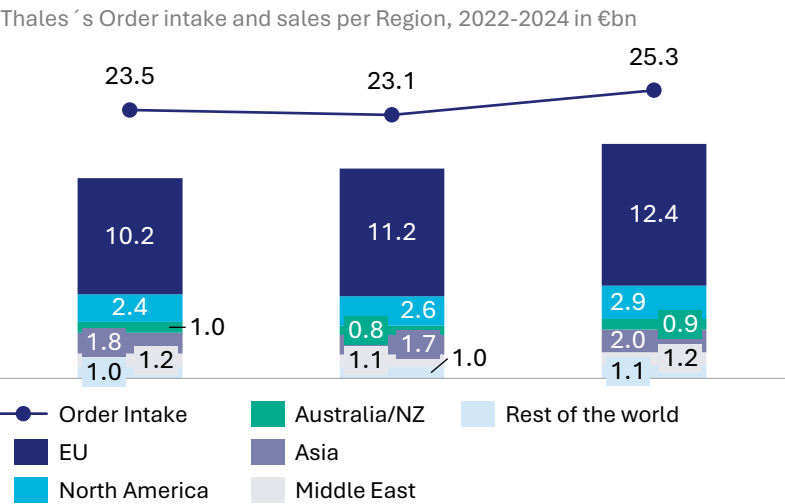
Source: Thales Results and Reports 2023-2024

Defense represents Over Half of Thales 2024 Sales



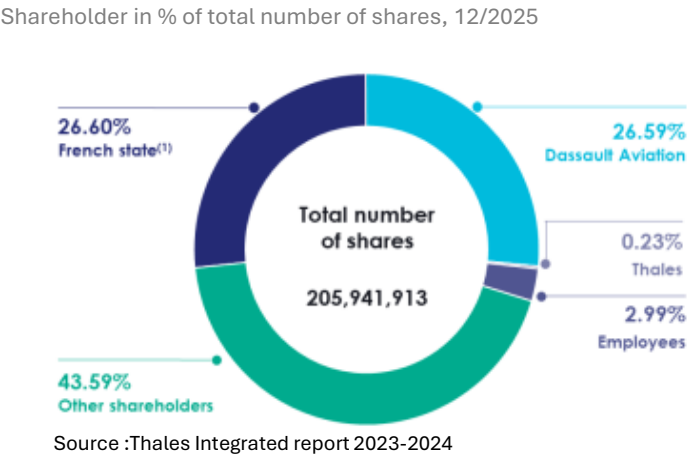
Source: Thales Integrated report 2023-2024

EU Leads Regional Order Intake Growth (2022–2024)



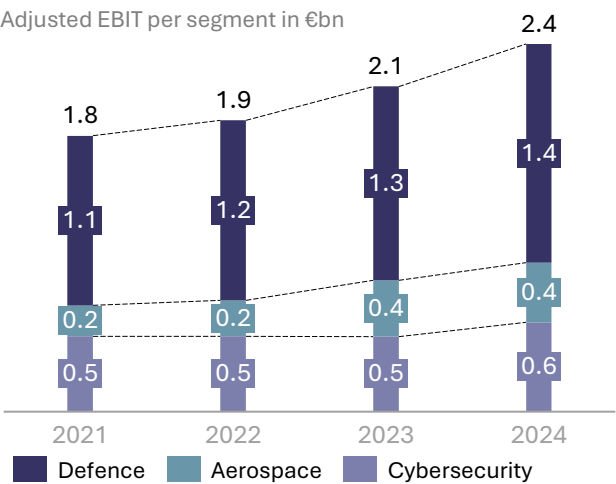
Source: Thales Results and Reports 2023-2024

Veto: French State and Dassault Aviation hold power



Source :Thales Integrated report 2023-2024

EBIT Scaling Across Segments (2021–2024)



Source: Thales Results and Reports 2023-2024

Key Takeaway

Thales’ momentum is driven by strong defense growth and expanding margins, supported by rising European demand, while its shareholder structure limits major M&A moves but ensures long-term strategic stability.

Rheinmetall AG Overview

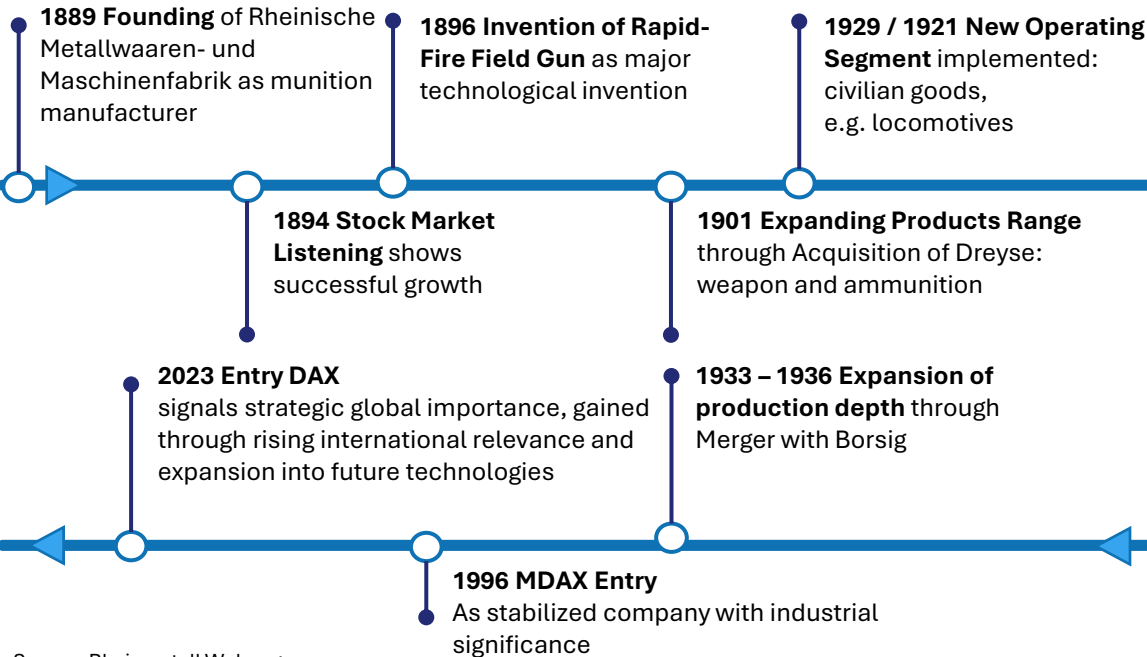
German Asset with profound History as Manufacturer in the Defense Industry



Overview

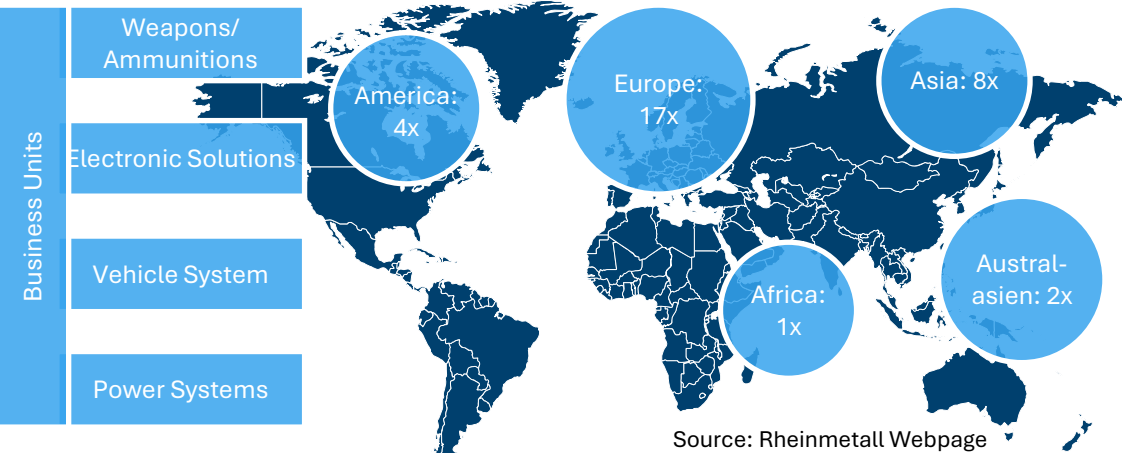
- Rheinmetall is a leading international defense and technology company, with HQ in Germany Düsseldorf and +40k employees
- Corporate sites in approx. 180 countries, operates in holding structure
- Core Divisions: **Weapon and ammunition, electronic solutions, vehicle systems, power systems**
- Core strength: History, strong supply-chain integration, defense house

History

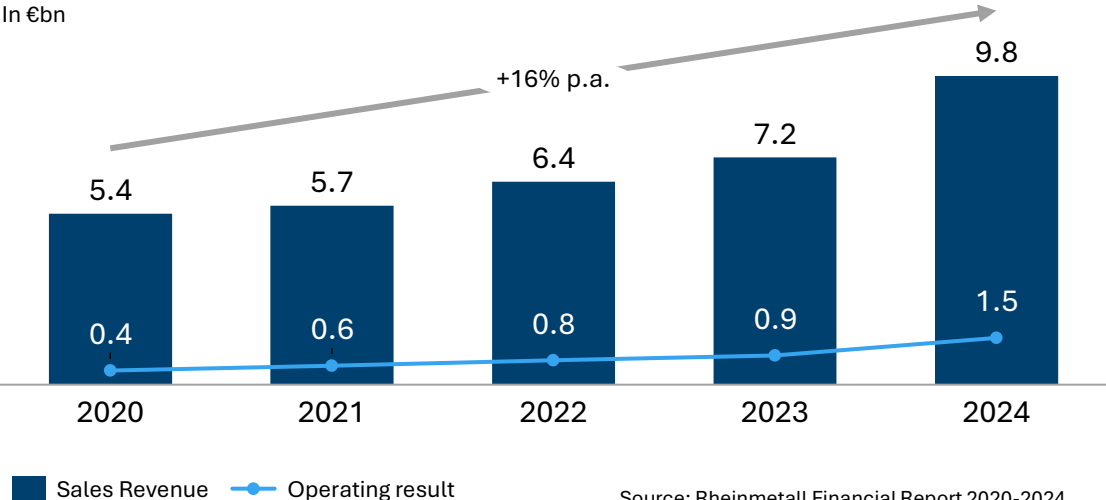


Source: Rheinmetall Webpage

Worldwide Presence



Financial Overview: Sales Revenue and Operating result



Source: Rheinmetall Financial Report 2020-2024

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Rheinmetall AG Overview

Core Business & Strategic Positioning



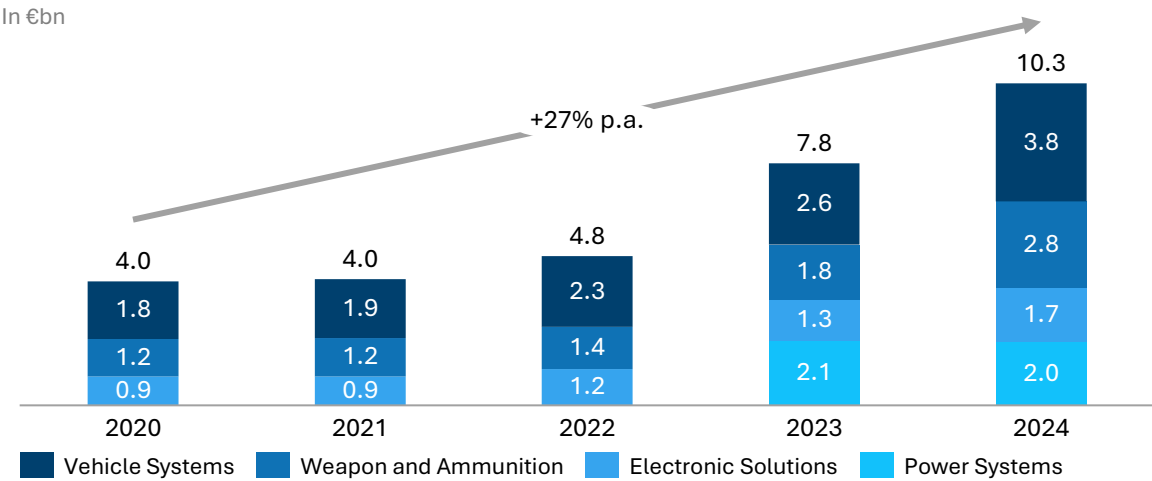
Inside the Core Business

Core Business	Current Service & Product
Vehicle Systems	Provides a broad portfolio of wheeled and tracked military vehicles, including combat, support, logistics and specialized platforms.
Weapons and Ammunition	Complete solutions for firepower, protection and mission support across land, air and sea.
Electric Solutions	End-to-end systems from sensors to effectors, digital networking, cyber protection, and advanced simulation/training solutions.
Power Systems	High-quality mobility solutions, e-mobility components, hydrogen technology, air/thermal management systems, and global aftermarket activities.

Strategic Development: Core Business Focus on digital and expansion

Core Business	Strategic Direction Service & Product
Vehicle Systems	Moving toward digital, modular, and unmanned vehicle ecosystems
Weapons and Ammunition	Transforming into a multi-national and expanded production capacity
Electric Solutions	Shifting toward digital, AI-based, integrated solutions
Power Systems	future-ready mobility and energy technology provider for military platforms.

Sales increase per Business Unit



Source: Rheinmetall Financial Report 2020-2024

Strategic Partnerships: Focus on digital and Knowledge Core Business

Aiming for a full-spectrum defense prime, Rheinmetall extends capabilities in missile systems, autonomous platforms, sensors, propulsion and digital warfare.

- Expand digital warfare & autonomous capabilities: Electronic Solution
- Enhances competitiveness of land-systems: vehicle and mobility solution
- Lead Europe in partnering with US primes: supply chain and volumes, access
- Lead Europe from inside EU: Production capacity weapon and ammunition



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Strategic Fit Analysis

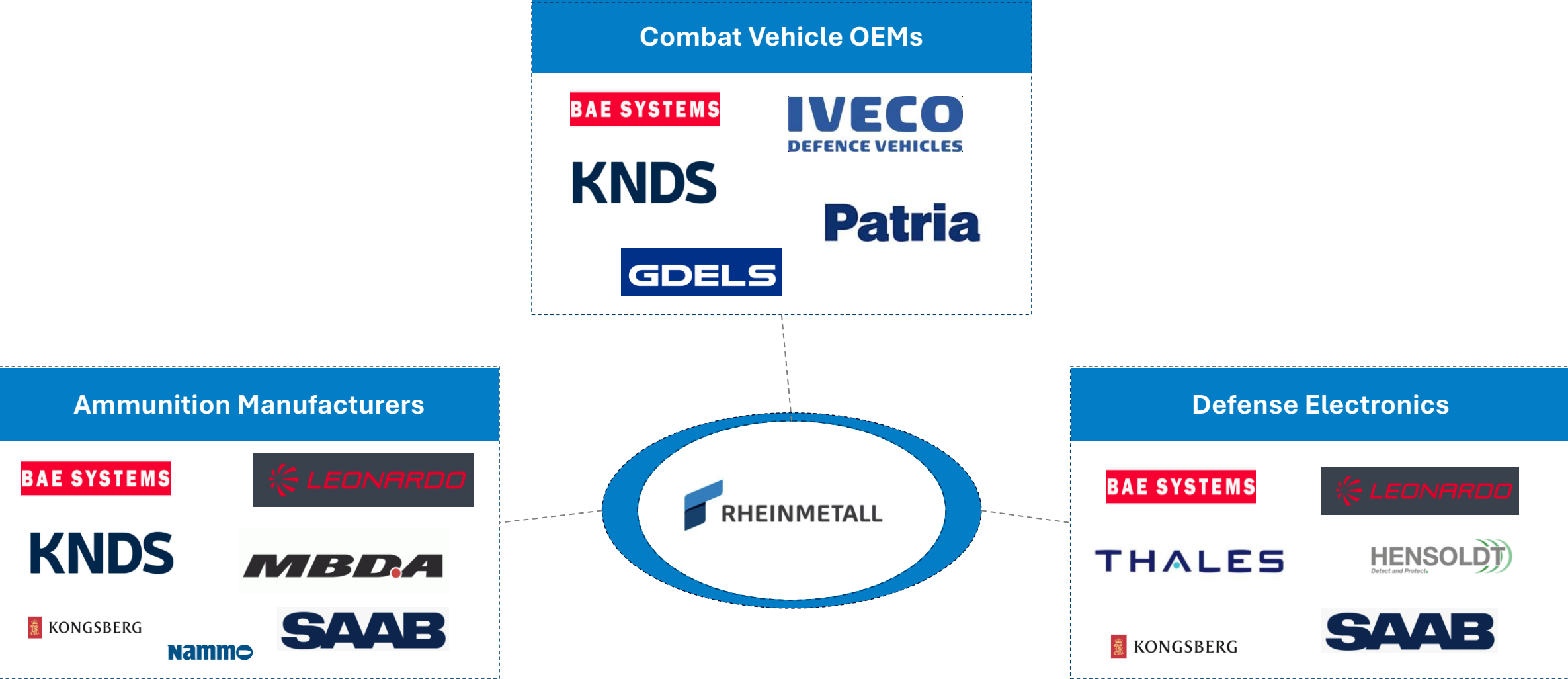
Strategic Alignment Across Key Defense Innovation and Sovereignty Priorities



Strategic Alignments		How	Where?	How much?
Integrated Land System		Integration of advanced C4ISR, radar and secure communication systems into armored platforms enables fully digitalized and interoperable combat vehicles aligned with modern NATO warfare doctrines	Innovation & Performance Enhancement	
AI Enables Systems		Development and integration of AI for decision support, sensor fusion, autonomous platforms, predictive maintenance, target recognition, ISR automation, cyber defense and battlefield management systems	Multi-Domain	
Cyber-Resilient Combat Platforms		Embedding cybersecurity, encryption and electronic warfare protection into next-generation land systems ensures survivability in digitally contested environments	Risk Mitigation & Performance Enhancement	
Multi-Domain Operations Enablement		Alignment supports cross-domain integration (land–air–cyber), strengthening joint operational capabilities required in future battlefield scenarios.	Innovation Leadership	
European Defense Sovereignty		Joint positioning within EU defense initiatives (EDF, PESCO) strengthens industrial independence from non-European suppliers and enhances access to public defense funding.	Brand Positioning & Strategic Relevance	
ESG & Sustainable Defense		Both companies pursue decarbonization targets, responsible supply chain management, and governance transparency. Collaboration enables greener production processes, energy-efficient systems, and stronger ESG positioning in public procurement processes where sustainability criteria are increasingly relevant.	Risk Mitigation & Brand Perception & Long-Term Competitiveness	

Rheinmetall's Potential Peer Group

Defining the Peer Universe: Combat Vehicle OEMs vs. Defense Electronics vs. Ammunition



Comparable Company Selection

Comparative Assessment of Rheinmetall's Strategic Peer Groups and Market Fit



	Market Size	Market CAGR	Brand relevance	Revenue drivers	Cost drivers	Decision
 RHEINMETALL	-	5.8% (’25-’34e)	-	☒ Govt & NATO budget ☒ Geopolitical strategy ☒ After market demand ☒ International sales ☒ Supply chain capacity	☒ Raw material ☒ R&D cost ☒ Localisation constraint ☒ Supply chain & logistics ☒ Order backlog	-
Combat Vehicle OEM	€29.1bn (’33e)	7.4% (’25-’33e)	★★★★★	☒ Govt & NATO budget ☒ Geopolitical strategy ☒ After market demand ☒ International sales ☒ Supply chain capacity	☒ Raw material ☒ R&D cost ☒ Skilled labour shortage ☒ Supply chain & logistics ☒ Order backlog	
Ammunition Manufacturers	€41.1bn (’32e)	5.6% (’25-’33e)	★★★★☆☆	☒ Govt & NATO budget ☒ Geopolitical strategy ☒ After market demand ☒ International Sales ☒ Supply chain capacity	☒ Raw Material ☒ R&D cost ☒ Skilled labour shortage ☒ Supply chain & logistics ☒ Order backlog	
Defense Electronics	€255.0bn (’34e)	5.8% (’25-’34e)	★★★☆☆	☒ Govt & NATO budget ☒ Geopolitical strategy ☒ After market demand ☒ International Sales ☒ Supply chain capacity	☒ Raw Material ☒ R&D cost ☒ Skilled labour shortage ☒ Supply chain & logistics ☒ Order backlog	

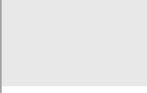
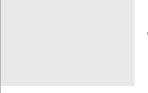
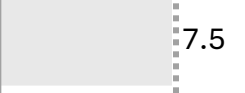
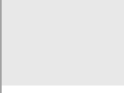
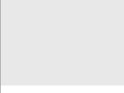
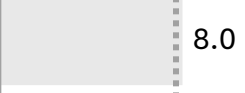
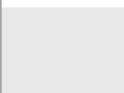
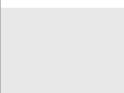
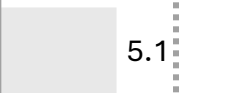
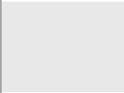
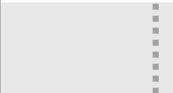
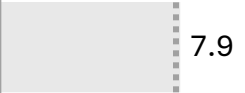
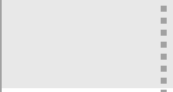
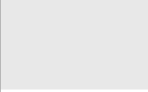
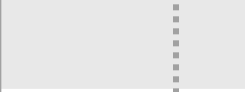
Combat Vehicle OEMs are the only defensible peer group for valuation, closest match on growth, revenue drivers, cost structure, and strategic exposure.

Sources: Custom Market Insights (2024), Gminsights (2023, 2024 a-b)

Peer Group Analysis

Integrated Defense Portfolio with International Footprint Supports Superior Operating Profitability

THALES

Company Overview		Vehicle Share 2024	EBITDA margin FY25E	EBIT Margin FY25E	NOPAD margin 25E
	- Integrated technology group and leading international systems provider for the defense industry - Production sites in > 30 countries incl. divisions Vehicle Systems , Weapons/Ammunition, Electronics		 23.6	 18.5	 6.9
	- Offers most advanced defense solutions in multiple sectors with 110k employees in +40 countries - Designs, manufactures and supports combat vehicles, precision munitions and artillery systems		 14.4	 10.1	 7.5
	- Offers customized military mobility solutions for EU, NATO, and international customers - Innovative armoured wheeled and tracked vehicles as well as highly mobile bridge systems 50 countries globally, incl. 20 NATO/EU member		 12.1 Median 15.6	 10.3 Median 11.7	 8.0 Median 7.7
	- Offers innovative special-purpose defense vehicles from logistic to armoured vehicles - IDV's autonomous range includes native uncrewed vehicles and systems 6 main product sites and 7 R&D centers		 16.0 Median 15.6	 11.4 Median 11.7	 5.1 Median 7.7
	- Leading pan-European land defense company - Offers system-of-systems capabilities – from platforms to ammunition to services - Delivers to 24 EU und 19 international armies		 15.3	 13.2	 7.9
	- International company for protected Mobility - Offers defense vehicle, Weapon Systems and air surveillance-related products and drones - Key leading Nordic defense company		 17.0	 12.0	 10.8
RHM positions themselves by a balanced and well integrated portfolio with broad technological capabilities and diversified international exposure.			RHM leads in operating profitability, indicating strong pricing power and effective vertical integration, but weak income margins pointing to financial headwinds.		

Sources: Morningstar (2026a-d); Rheinmetall (2025a-c); BAE Systems (2025a-b, 2026); Iveco Group (2026); General Dynamics (2024); KNDS (2025); Patria (2025, 2026), Reuters (2025)

Peer Group Trading Multiples

Valuation Premium is Reinforced by Future Performance Metrics



Financial Metrics						Future Performance Metrics				
Enterprise Value						EV/Sales 25E				
EV/EBITDA 25E						EV/Backlog 25E				
EV/R&D 25E										
Combat Vehicles OEMs		72.0	5.9x	25.2x	0.9x	15.0x				
		65.8	2.4x	16.7x	0.8x	30.3x				
		84.2	1.6x	13.3x	0.6x	187.0x				
		0.8	0.6x	3.5x	0.1x	15.5x				
		20.0	5.3x	34.5x	0.9x	232.6x				
		2.7	2.7x	15.9x	0.8x	18.0x				

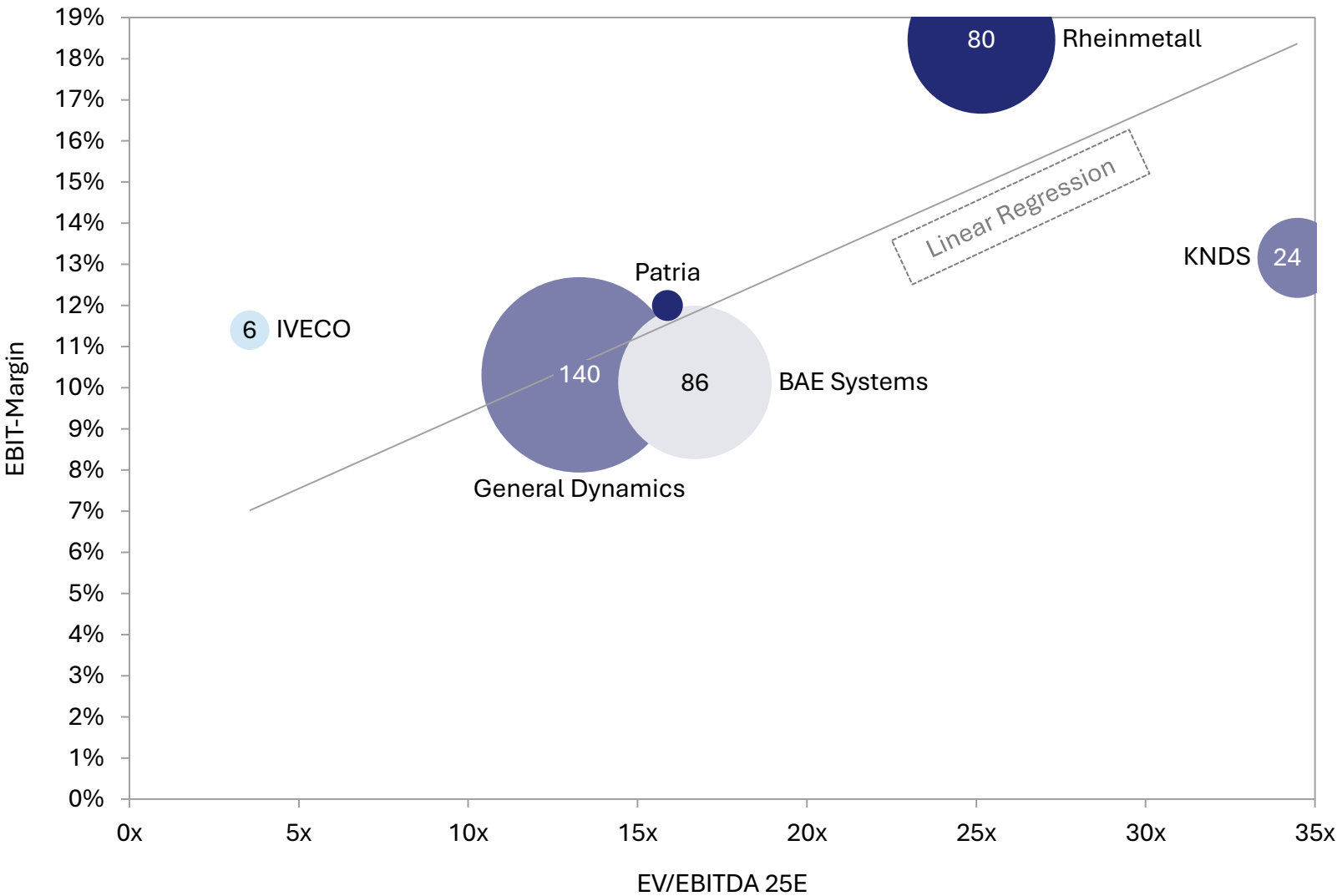
Sources: Morningstar (2026a-d); Rheinmetall (2025a-c); BAE Systems (2025a-b, 2026); Iveco Group (2026); General Dynamics (2024); KNDS (2025); Patria (2025, 2026), Reuters (2025)

Rheinmetall is valued at a strong premium to vehicle OEM peers, implying the market prices in superior growth.

The backlog and R&D valuation supports investors to assign higher confidence in conversion and future profitability.

Validation of Trading Multiples

Premium vs. Peers is Evident; Significant Advantages must Justify High Valuation



Notes

- Bubble size represents Backlog as estimated for years end 2024

Key Observations

- Rheinmetall's Valuation tracks profitability.** Higher **EBIT margin** generally **corresponds** to a **higher EV/EBITDA multiple**
- Rheinmetall sits top-right with meaningful backlog. Its **premium is consistent** with both profitability leadership and strong demand visibility.
- Backlog size alone does not drive valuation.** General Dynamics shows the largest backlog but only mid-range multiples.

Sources: Morningstar (2026a-d); Rheinmetall (2025a-c); BAE Systems (2025a-b, 2026); Iveco Group (2026); General Dynamics (2024); KNDS (2025); Patria (2025, 2026), Reuters (2025)

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Rheinmetall Discounted Cash Flows

Intrinsic Value of Rheinmetall Quantification: A Cash Flow Projection through 2030

THALES

Discounted Cash Flows							
In €bn	2024	2025E	2026E	2027E	2028E	2029E	2030E
Revenue, total	9.8	12.2	16.2	21.2	29.2	37.6	47.6
% growth	35.9%	24.6%	33.6%	30.4%	38.1%	28.8%	26.4%
Operating Margin	15%	18%	19%	19%	20%	20%	21%
Vehicle Systems margin (30% avg)	3.8 11%	4.8 11.4%	6.1 11.8%	7.5 12.2%	9.6 12.6%	12.0 13%	14.7 13%
W&A margin (35% avg)	2.8 28%	3.6 28.6%	5.0 29.2%	6.5 29.8%	8.8 30.4%	11.4 31%	15.3 31.6%
Air Defense margin (33% avg)	0.6 28%	0.8 28%	1.0 28%	1.5 28%	2.0 28%	2.8 28%	3.5 28%
Digital margin (30% avg)	1.2 17%	1.7 17%	2.4 17%	3.5 17%	5.8 17%	7.5 17%	9.2 17%
Naval margin (12% avg)		1.3 12%	1.8 12%	2.2 12%	3.1 12%	4.0 12%	4.9 12%
EBITDA	1.89	2.86	3.92	5.26	7.39	9.73	12.67
D&A	0.41	0.62	0.85	1.14	1.60	2.11	2.75
EBIT	1.48	2.24	3.07	4.12	5.79	7.62	9.92
Taxes	0.37	0.58	0.79	1.07	1.50	1.99	2.59
Total financial debt	2.42	2.24	3.06	4.11	5.77	7.60	9.89
Interests	0.12	0.10	0.13	0.17	0.22	0.27	0.33
NOPAT	0.81	0.84	2.27	3.05	4.28	5.64	7.33
Working Capital	-0.10	1.10	0.90	0.80	0.60	0.40	0.40
Capital Expenditure	1.40	1.00	2.00	1.50	1.50	1.50	1.50
Unlevered FCFF	1.02	-0.64	0.22	1.90	3.78	5.85	8.18
Discount Factor			1.09	1.20	1.31	1.43	1.56
Present Value			0.21	1.59	2.90	4.09	5.24
Total PV							14.02

Additional KPIs 2025

Size Backlog	64.8 bn€
Market Cap (2025 years end, Morningstar (2026d))	73.63 bn€
Enterprise Value (Morningstar (2026d))	75.98 bn€

Notes and Assumption for DCF

1.

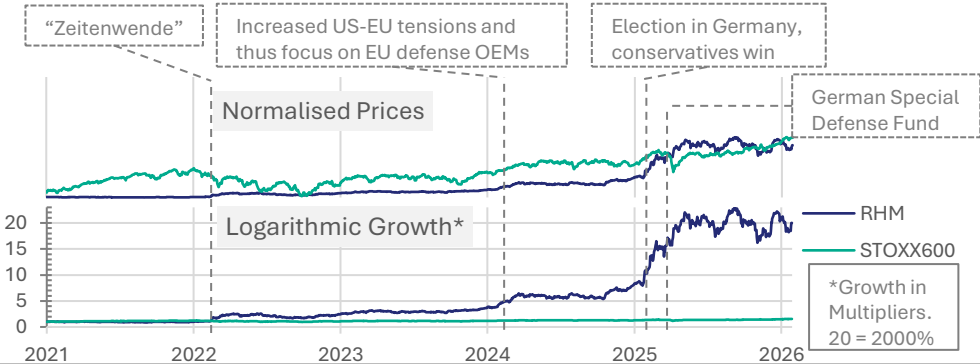
Estimations are based on Rheinmetall’s Financial Statements for 2025 Q1-Q3 and Investor Presentations from 2024. Including:
 - The expected growth and margins per BU
 - The goals for debt, investments and change in working capital
2.

A constant D&A margin if 21.7% of the EBITDA is assumed. Based on historical figures and adjusted for increased investment objectives.

Sources: Morningstar (2026d); Rheinmetall (2024a-b); Rheinmetall (2025a-c); finanzen.net (2026a-b)

Cost of Debt		Based on
Pre-tax	4.01%	RHM 2025 bond ann.
Effective Tax rate	27.01%	RHM financial statements
Cost of Debt	2.93%	
Cost of Equity		Based on
Risk-free rate	2.71%	5Y Bond of Germany
Market risk premium	6.09%	STOXX EUR 600 5Y CAGR
Beta	1.58	3Y weekly to STOXX EUR 600
Cost of Equity	12.35%	
Cost of Capital (WACC)		
	Total	Share
MV of equity	5.150	67.94%
MV of net debt	2.430	32.06%
Cost of Capital		9.33%

Perpetuity Growth Approach	
2030 estimated unlevered FCFF	8.18
Long-term Growth rate	1%
Terminal Value	94.28
Present Value Terminal Value	60.35
Total Present Value FCFF	14.02
Enterprise Value	74.37
Implied EBITDA Multiple	25.98
Cash and Cash Equivalents 25E	0.56
Total Debt 25E	2.43
Intrinsic Equity Value	72.5



- Rheinmetall looks forward to a steep demand increase caused by the doubled goals of defense spending of the EU countries, especially Germany.
- The **backlog inclined by 23% until 2025 Q3** alone, strengthening the ambitious growth plans.
- Share price developed in 4 big steps which weakens the high beta.
- Based to high volatility and high premium, the valuation might slightly be overheated.
- The **share price uplifted each time when spending goals were increased, moving sideways otherwise.**
- Overall **RHM is fairly valued** with some indicators for a higher inherent risk.

Thales Discounted Cash Flows

Intrinsic Value of Thales Quantification: A Cash Flow Projection through 2030

Discounted Cash Flows							
in EUR billions	2024	2025E	2026E	2027E	2028E	2029E	2030E
Revenue	€ 20.58	€ 22.29	€ 24.16	€ 26.17	€ 28.36	€ 30.73	€ 33.29
Revenue Growth		8.35 %	8.35 %	8.35 %	8.35 %	8.35 %	8.35 %
EBIT	€ 1.66	€ 1.80	€ 1.95	€ 2.11	€ 2.29	€ 2.48	
EBIT Margin		7.44 %	7.44 %	7.44 %	7.44 %	7.44 %	7.44 %
NOPAT @ 25% tax rate	€ 1.24	€ 1.35	€ 1.46	€ 1.58	€ 1.71	€ 1.86	
+ Depreciation & Amortization @ 5.77 % of Revenue	€ 1.29	€ 1.39	€ 1.51	€ 1.64	€ 1.77	€ 1.92	
± Changes in Net Working Capital @ 20.70 % NWC Reduction	€ -1.16	€ -1.40	€ -1.69	€ -2.05	€ -2.47	€ -2.98	
- Capital Expenditures @ 6.33 % of Revenue	€ 1.41	€ 1.53	€ 1.66	€ 1.79	€ 1.94	€ 2.11	
Free Cash Flow to the Firm (FCFF)	€ 2.28	€ 2.62	€ 3.01	€ 3.47	€ 4.01	€ 4.65	
Discount Rate			6.63 %	6.63 %	6.63 %	6.63 %	6.63 %
Discount Period			1	2	3	4	5
Discount Factor			0.94	0.88	0.82	0.77	0.73
Present Value of FCFF			2.45	2.65	2.86	3.10	3.37

Cost of Debt	
Pre-tax cost of debt	2.78 %
Tax rate	25.00 %
After-Tax Cost of Debt	2.09 %

Cost of Equity	
Risk-free rate	2.78 %
Market risk premium	13.53 %
Beta	0.33
Cost of Equity	7.30 %

Average Cost of Capital (WACC)	
Capital Structure	
Market Value of Equity	87 %
Market Value of Net Debt	13 %
Average Cost of Capital (WACC)	6.63 %

Perpetuity Growth Approach		
FY 2030E FCFF	€	4.65
Long-Term Growth Rate		2.00 %
Terminal Value	€	102.36
Present Value of Terminal Value	€	74.26
Present Value of FCFF	€	14.44
Enterprise Value	€	88.69
+ Cash	€	4.77
- Maket Value of Net Debt	€	7.82
Intrinsic Value of Equity	€	85.64

Notes and Assumption for Cash Flow Modelling

- Assumed tax rate is the company tax rate in France.
- Revenue, Depreciation & Amortization, Net Working Capital and Capital Expenditures Growth assumption derived from average growth in the past 3 years. This spans the time after the start of the Ukraine war and increased spending in defense, which is assumed to continue up to the end of the decade.

Notes and Assumption for DCF

- Cost of Debt derived from market quotas of all outstanding bonds and applied to all interest-bearing debts.
- Cost of Equity derived from regression analysis on Thales' excess returns against Stoxx Europe 600 as diversified Index on European companies. Bundesbank quota as risk-free rate proxy.

At a 6.63% WACC and 2.00% terminal growth rate, Thales' DCF yields an intrinsic equity value of €85.64bn **confirming Thales standalone is worth** significantly more than its €66.83bn pro-forma stake in a combined entity with Rheinmetall.

Cost and Revenue Synergy modelling

Assessing Shareholder Value Creation from a Potential Merger



Discounted Cash Flows

in EUR billions	2024		2025E		2026E		2027E		2028E		2029E		2030E	
Total Revenue	€	30.33	€	34.44	€	40.39	€	47.34	€	57.59	€	68.37	€	80.86
EBIT Synergy Rate						1.50 %		1.50 %		1.50 %		1.50 %		1.50 %
Synergy Ramp-Up						25 %		50 %		75 %		100 %		100 %
EBIT					€	0.15	€	0.36	€	0.65	€	1.03	€	1.21
NOPAT @ 25.65% tax rate					€	0.11	€	0.26	€	0.48	€	0.76	€	0.90
Integration Costs @ 1.00 % of Total EV						1.70		1.70		1.70		1.70		1.70
Integration Costs Ramp- Up						50 %		35 %		15 %				
Integration Costs					€	0.85	€	0.59	€	0.25				
Free Cash Flow to the Firm (FCFF)					€	-0.74	€	-0.33	€	0.23	€	0.76	€	0.90
Discount Rate						14.55 %		14.55 %		14.55 %		14.55 %		14.55 %
Discount Period						1		2		3		4		5
Discount Factor						0.87		0.76		0.67		0.58		0.51
Present Value of FCFF						-0.64		-0.25		0.15		0.44		0.46

Cost of Debt

Pre-tax cost of debt	3.07 %
Tax rate	25.65 %
After-Tax Cost of Debt	2.28 %

Cost of Equity

Risk-free rate	2.78 %
Market risk premium	13.53 %
Unlever Beta Thales	0.76
Unlever Beta Rheinmetall	1.03
Unlever Beta Combined	0.89
Levered Beta Combined	0.94

Cost of Equity	15.49 %
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Average Cost of Capital (WACC)

Capital Structure	
Market Value of Equity	93.0%
Market Value of Net Debt	7%
Average Cost of Capital (WACC)	14.55 %

Perpetuity Growth Approach

FY 2030E FCFF	€	0.90
Long-Term Growth Rate		2.00 %
Terminal Value	€	7.33
Present Value of Terminal Value	€	3.72
Present Value of FCFF	€	0.16
Intrinsic Value of Synergy	€	3.87
Risk-Adjustment		45 %
Risk-Adjusted Intrinsic Value of Synergy	€	1.74
+ Thales Stand-Alone	€	85.62
+ Rheinmetall Stand-Alone	€	79.82
Combined Intrinsic Value of Equity	€	167.18

Shareholder Structure Post-Merge

Market Cap Thales	€	53.20
Market Cap Rheinmetall	€	79.89
Share of New Firm to Thales		39.97 %
Share of New Firm to Rheinmetall		60.03 %
IV of Thales Shareholder of New Firm	€	66.83
IV of Thales Stand-Alone	€	85.62
Deal sensible for Thales Shareholder?		No

With only a 39.97% pro-forma stake in the combined entity, **Thales shareholders surrender €18.79B** of intrinsic equity value falling from €85.62B to €66.83B.

Notes and Assumption for Cash Flow Modeling & DCF

1. Tax rat as the revenue-weighted average tax rate of both firms.
2. EBIT Synergy Rate as estimated by Bain (Miles, L., Borchert, A. and Ramanathan, A.E. (2014)).
3. Integration Costs as estimated by EY (EY (2024)).
4. Cost of Debt as debt-weighted average cost of both firms.
5. Shareholder Structure derived from 30-day average market Cap.

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Valuation Sensitivity

Equity and Synergy Under Varying Assumptions



Rheinmetall: Sensitivity Analysis of the Intrinsic Equity Value

		Long Term Growth Rate					
WACC		0.0%	0.5%	1.0%	1.5%	2.0%	2.5%
	6%	118,86	128,12	139,24	152,83	169,81	191,65
	7%	100,12	106,53	114,01	122,85	133,46	146,42
	8%	86,21	90,85	96,16	102,28	109,42	117,85
	9%	75,52	79,00	82,91	87,34	92,40	98,25
	10%	67,07	69,74	72,72	76,04	79,77	84,01
	11%	60,24	62,35	64,66	67,21	70,05	73,23
	12%	54,63	56,31	58,15	60,16	62,37	64,81
	13%	49,94	51,31	52,79	54,40	56,16	58,08

Thales: Sensitivity Analysis of the Intrinsic Equity Value

		Long Term Growth Rate					
WACC		0%	0.50%	1%	2%	2.50%	3%
	4.50%	95.28	106.12	120.05	164.62	203.62	268.63
	5.00%	84.99	93.50	104.13	136.01	161.53	199.79
	5.50%	76.58	83.41	91.75	115.59	133.47	158.50
	6.00%	69.58	75.17	81.86	100.29	113.44	130.99
	6.50%	63.67	68.30	73.78	88.39	98.43	111.34
	7.00%	58.60	62.50	67.05	78.88	86.76	96.62
	7.50%	54.22	57.53	61.36	71.10	77.43	85.17
	8.00%	50.38	53.23	56.49	64.63	69.81	76.02

Sensitivity Analysis of the Synergy

		Long Term Growth Rate					
WACC		0%	0.50%	1%	2%	2.50%	3%
	12.50%	2.02	2.11	2.20	2.41	2.53	2.66
	13.00%	1.90	1.98	2.06	2.25	2.35	2.47
	13.50%	1.78	1.85	1.93	2.10	2.20	2.30
	14.00%	1.68	1.74	1.81	1.97	2.05	2.15
	14.50%	1.58	1.64	1.70	1.84	1.92	2.01
	15.00%	1.49	1.54	1.60	1.73	1.80	1.88
	15.50%	1.40	1.45	1.51	1.62	1.69	1.76
	16.00%	1.32	1.37	1.42	1.52	1.58	1.65

Deal is not sensible

Deal is sensible

Key Takeaway

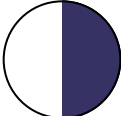
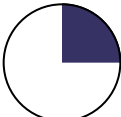
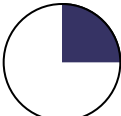
Only for **few combination** of assumptions **makes the merger value-accretive** for Thales shareholders:

For WACCs of 6.00% and 7.00% for Rheinmetall, and WACCs of 7.50 % and 8.00 % for Thales, ceteris paribus, the merger becomes sensible. For none of the examined WACCs and growth rates, the synergy leads to a favourable evaluation of the deal.

Synergies

Limited Realization: Structural and Regulatory Constraints Reduce Achievable Accompany Timeline

THALES

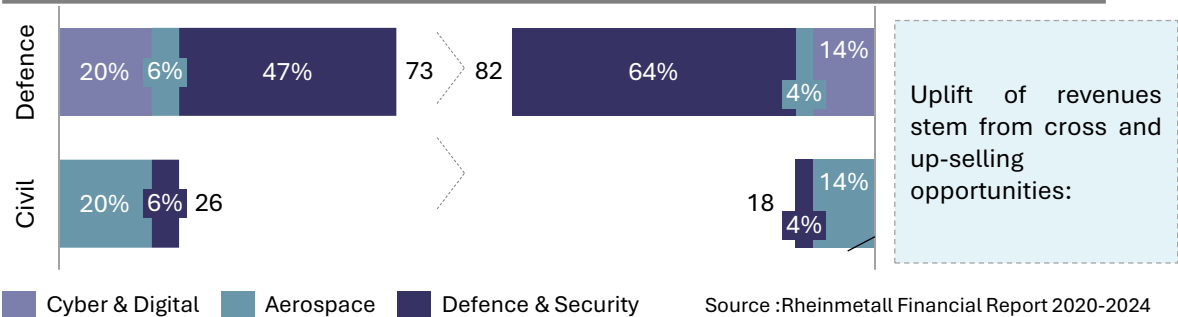
	Synergies & Opportunities	Challenges & Risks	Duration	Impact
Revenue Synergies	• Cross selling integrated systems • Combined €30bn+ revenue • Combined bids for systems like MGCS follow-on variants.	• Political and regulatory constraints in EU (national interests, export controls, antitrust) limit scope & speed of cross-border cross-selling.	 2 – 4 years	
Cost Synergies	• Shared R&D, Engineering & IT • Purchasing leverage on common components • Standardisation of platforms and product architectures.	• Defense sites and jobs are nation-anchored. Consolidation potential is constrained by security-of-supply and offset rules. • Integration complexity & timing.	 3 – 5 years	
Technology Synergy	• Joint R&D acceleration • Standardised architectures reducing integration cost • Complementary stacks - Rheinmetall platform + Thales sensor, software and C4ISR.	• Legacy system incompatibilities (protocols, middleware etc.) • IP & secure data sharing constraints • Talent and culture misalignment slowing down innovation.	 3 – 5 years	
Supply Chain Synergies	• Combined purchasing power • Vertical integration gains • Shared logistics and warehousing, consolidated inventory management etc.	• French/German export controls limits cross border flows of sensitive components • Existing supplier lock-in hinders quick switches.	 2 – 3 years	
Synergies appear attractive, but not achievable to the fullest: Political constraints, nation-locked production, export-control friction, and integration complexity hinders synergies. This means, a small fraction is realistically achievable and unfolds over extended time horizons.				

Strategic Fit of Thales and Rheinmetall

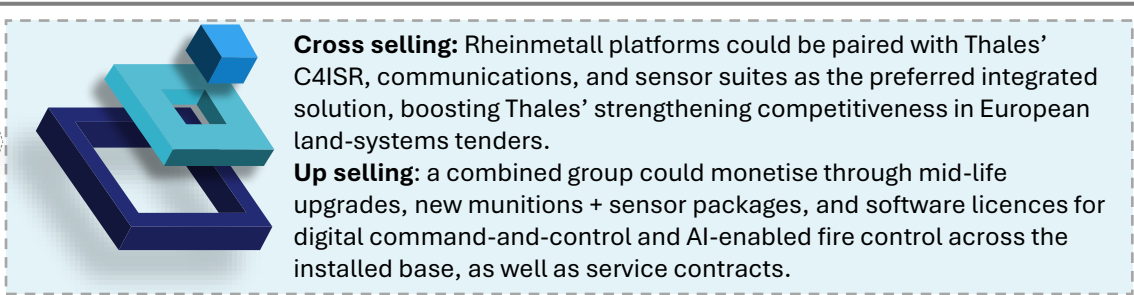
Merger Creates EU's Leading Integrated Defense Player



Increase in Sales Revenue up to +17% in Defense



Sales increase per Business Unit



Increase of Global Presence



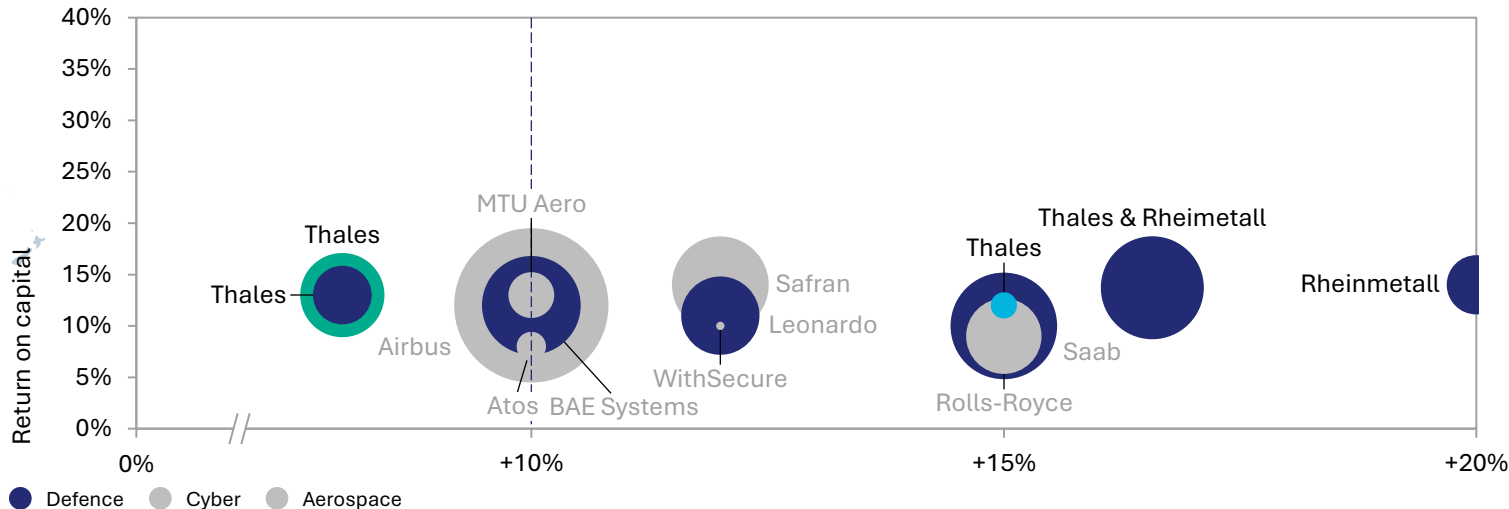
Synergy Levers :

- ⊕ Supplier network integration
- ⊕ Procurement economies of scale
- ⊕ Shared overhead and support functions
- ⊕ Complimentary regional portfolios

Combined: Could access Rheinmetall's NATO Eastern Flank presence + Thales's established positions in France's traditional export markets

Establishing a Leading Pan-European Defense Champion

The combination of Thales and Rheinmetall creates a €40–50 bn-revenue European defense leader, enhancing strategic autonomy across land and air domains and establishing a powerhouse unmatched by any EU competitor



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Strategic Rationale vs. Execution Reality

Value Chain Synergies and integrated Products



Efficiency in Value Chain supports Merger

Stage	Thales	Rheinmetall	Synergy potential
1. Research & Development	Electronics & Software	Platforms & Armaments	Joint development: digitized combat vehicles; integration of sensors and effectors
2. System Design & Engineering	System Architecture	Vehicle Architecture	End-to-end sensor-to-shooter architecture; system platform standard
3. Manufacturing & Production	Electronics Manufacturing	Vehicle & Ammunition Production	Procurement scale effects; industrial footprint optimization
4. System Integration	Mission Integration	Platform Integration	Fully integrated land combat systems; digital platform connectivity
5. Delivery & Acceptance	Certification	Qualification	Coordinated market access; streamlined export and approval processes
6. After-Sales & Lifecycle	Digital Services	Logistics & Maintenance	Integrated lifecycle contracts and services; increased recurring revenues

Strategic Advantage from Value Chain Merger

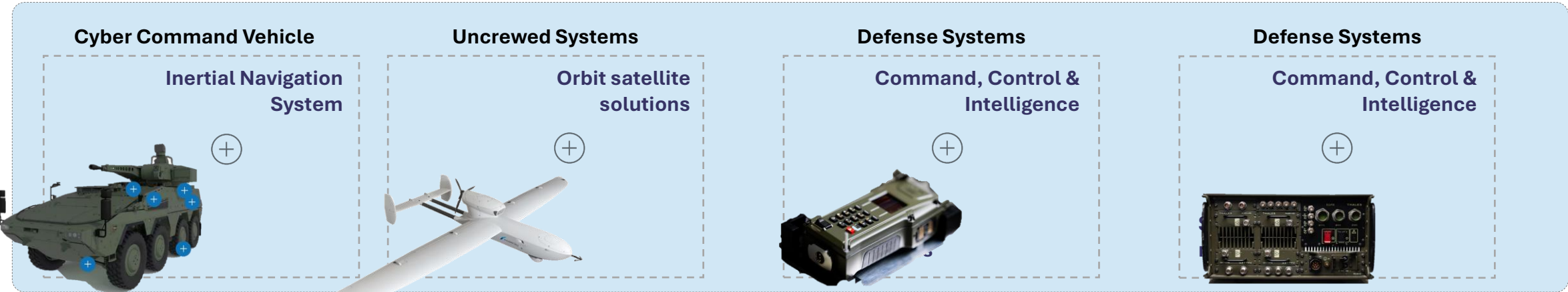
Strategic advantage through...

- ⊕ Vertical integration across defense value chain
- ⊕ Complementary capabilities (electronics ↔ platforms)
- ⊕ Cost cut: Scale, efficiency

...results in a Complementary vertical integration: electronics + platforms + ammunition = fully integrated system solution

Strategic fit is strong across value chain, but political, financial, and operational barriers block value realization.

Product Paliett Examples: Fully Integrated Products



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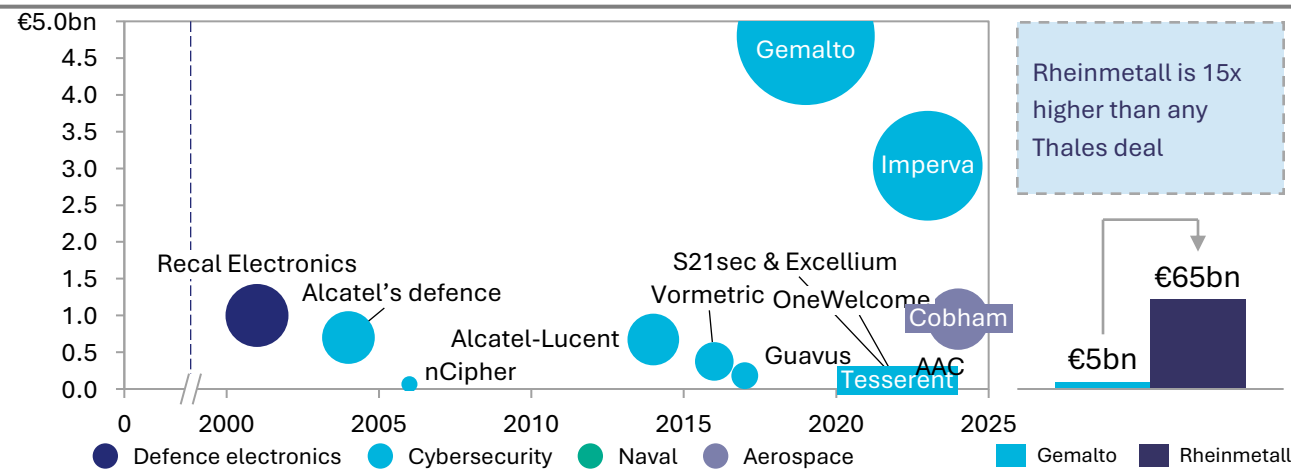
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Conclusion for Thales x Rheinmetall Deal

M&A Capacity Exceeded: Critical Barriers for Value Realization



Thales M&A History



Thales has never executed a transaction above €5bn, making Rheinmetall, valued at over 15x that size which is far beyond its historical M&A scale.

But restrains built barrier for unlocking full potential

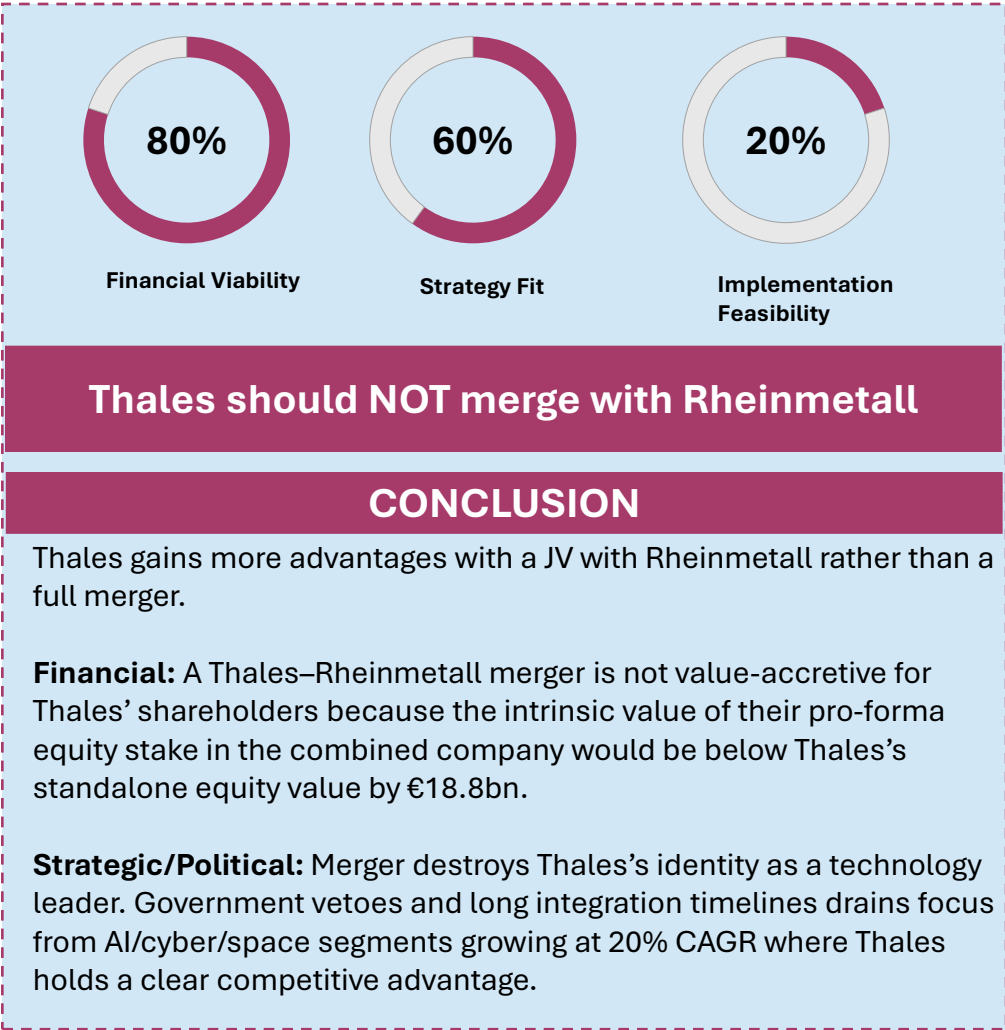
Political deadlock: Germany views Rheinmetall as strategic asset for National security, while France treats Thales likewise. National sovereignty concerns make approval unlikely.

Localization: Tied to their countries, heavy-industry plants and high-reliability electronics sites are highly specialized, which limits consolidation due to security-of-supply and offset obligations.

Opportunity costs: Capital lock-up and post merger integration focus (5-7 years) diverts focus from high-growth domains like AI software, autonomous segments etc. (greater than 20% CAGR)

Post merger integration: Strong cultural misalignment (state-influenced systems culture vs. agile, platform-centric model) and heavy regulatory scrutiny and mitigation agreements distract management amid booming standalone order books.

Final Statement

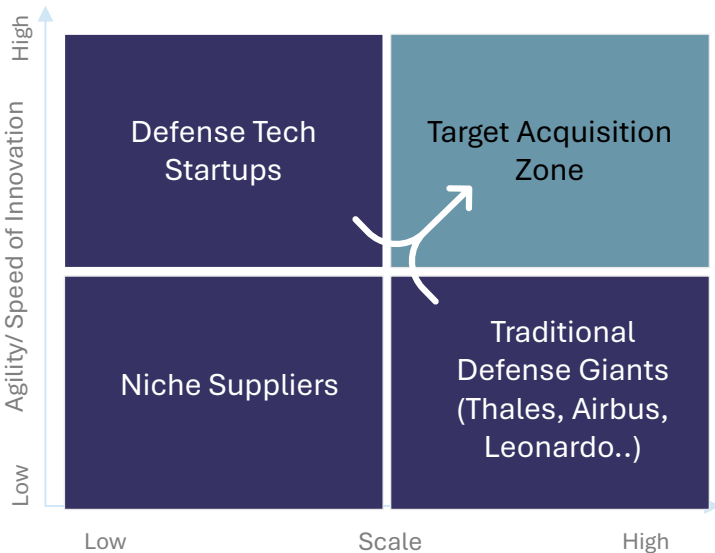


Bridging the Innovation Gap for Thales

Target Zone for Thales: AI-native, Software-Defined Defense with Volume of €180bn + TAM by 2030



Strategy Gap Analysis: Buy or Make

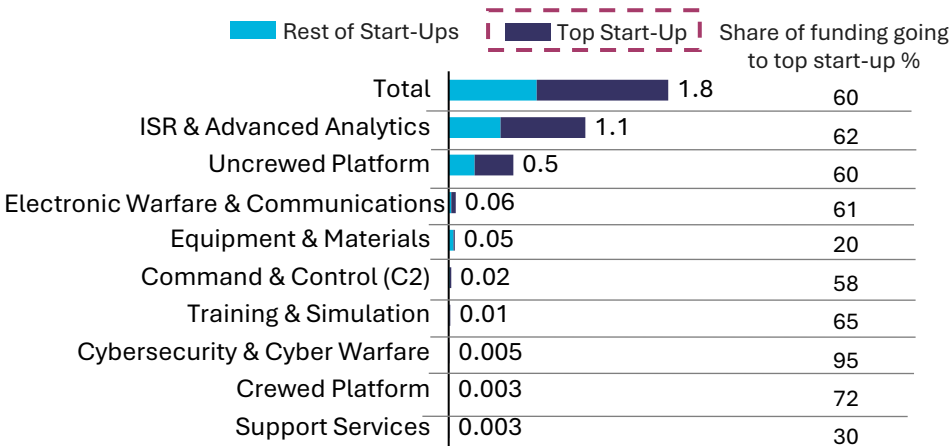


Key Takeaway

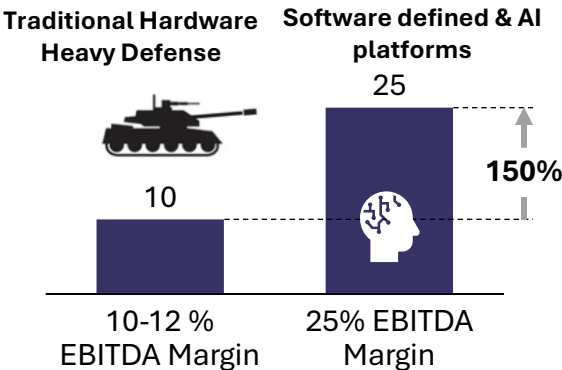
Thales must acquire to bridge the Innovation gap before US based defense giants capture EU Market share.

Volume of Founding by product category in EU

incl. government grants and private equity investments (2018-24) in €bn



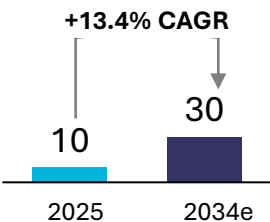
Market Expansion Opportunity through Software & AI



Sources: BCG (2026), Gminsights (2025, 2026), McKinsey (2025a-b)

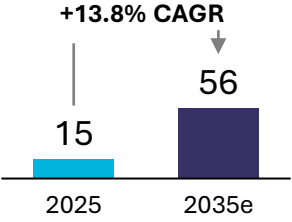
AI Powered defense & Analytics

€bn



AI Powered uncrewed platform

€bn



Target high growth, High Margin segments

Why Now? The Geopolitical Catalyst

European Defense Industrial Strategy (EDIS) pushing for EU Joint procurement. EU targets 50% intra-EU sourcing by 2030, with €500m+ EDIP funds favouring primes like Thales acquiring local champs.

Strategy: Thales must acquire local champions to leap from sensors to full-stack autonomy before US rivals dominates.

Goal : Position Thales as the “Sovereign EU Tech Prime Contractor”

Executive Summary

Industry Overview

Company Analysis

Financial Analysis

Alternative Solution

Acquisition Feasibility

Conclusion

Evaluating Alternative Acquisition Targets for Thales

Validation of Competitive Landscape: Target Financials and Strategic fit Metrics

THALES

	Company Overview	Valuation	Strategic Fit	Reasoning	Key Metrics	Result
	- Europe’s highest-valued defense-tech startup, specializing in AI-based battlefield intelligence & sensor fusion for platforms. - Partner with Rheinmetall, Saab, Airbus, and European defense programs.	~€12.0bn (’25e)		Its "software-only" model aligns with Thales’ system architect role but the 1,100x revenue multiple is highly dilutive.	⚠ Rival-investor: Saab (5%) & GC (12%) could block ✓ FCAS & Eurofighter locked-in contracts	
	- A German leader in dual-use eVTOL drones (Vector, Trinity Pro) with focus on ISR, mapping, defense mission - Pivot to multi-domain air, land, and maritime expansion.	~€3.0bn (’25e)		Fills a critical gap in Thales’ hardware portfolio; offers 10,000+ combat-proven flight hours and attractive 10x revenue multiples.	⚠ IPO 2027 window-Price ceiling risk ✓ 4000 drones delivered, Ukraine combat-proven	
	Pan-European unicorn and market leader in maritime UAS (AR5 platform), providing persistent ISR for the UK RAF and NATO.	~€1.3bn (’25e)		Supports Thales to dominate Sovereign Maritime domain in EU & is fully compatible with Portugal’s defense-screening framework.	✓ NATO Innovation fund investor ✓ 6x revenue multiple. ✓ UK RAF, Spain MoD contracts	
	Paris-based AI defense "National Champion" developing autonomous "loyal wingman" drones specifically for the Rafale F5 ecosystem.	~€1.4 bn (’26e)		Strategic "lock-in" for future French air-combat programs. Dassault Aviation is a strategic partner which makes it less acquirable for Thales.	⚠ Dassault holds strategic stake ✓ French & UK programs secured ⚠ Thales-Dassault FCAS tensions complicates Deal	
	- Leading provider of "AuterionOS," an open-source software architecture for unifying heterogeneous drone fleets. - US/EU presence > €109m Series B.	~€0.6bn (’25e)		Provides the open software ecosystem that Thales needs and aligns with Switzerland’s pro-investment ISA.	⚠ NATO compliant open platform ✓ Swiss ISA framework = low risk ⚠ Revenue scale limited	
	Dutch manufacturer of VTOL fixed-wing drones focused on industrial mass production through a partnership with VDL Groep.	N/A* (private , not disclosed)		“Production synergy" rather than a "technology synergy." Feasible for large-scale autonomous ISR or loitering munitions.	⚠ No disclosed revenue data ⚠ Limited combat proven track record (VDL groep partnership for scale manufacturing)	

Consolidating Europe’s ISR Dominance through Maritime Platform Integration

TEKEVER is the optimal acquisition target

Sources: Official press releases, company official websites.

*N/A – no public financial data available

Legend : ⚠ Risk flags ✓ Confirmed/Estimated

Tekever Profile Overview

A High-Growth UAS Leader with Deep ISR, R&D & Multi-Domain Capabilities

TEKEVER THALES

Founded in 2001 by a group of engineering students, **TEKEVER** has grown into a significant player in the aerospace, defense, and security technology sectors to Europe’s leading provider of AI-driven aerial surveillance and combat-proven UAS solutions.



Ricardo Mendes
CEO (since 2018)
Former CTO



Pedro Sinogas (former CEO until 2018, major shareholder)

2001
Company founded in Lisbon (HQ)

2006
Pivot to UAS

2013
UK Subsidiary

2014
Seed/Series A

2018
Commercial ISR Launch

2019
UK Contract €1.14bn

2023
Funding Expansion (~€50m)

2024
Series B €70m

2025
Unicorn Milestone & €456m investment

Sources: TechCrunch (2024), TEKEVER (2026)

Business Model

- Service-centric (Intelligence-as-a-Service)
- Sells/Leases UAS Platforms
- Monetizes Data (ATLAS)

Main Business Segments



Maritime Surveillance & Border Security



Defense & Military ISR



Public Safety & Disaster Response

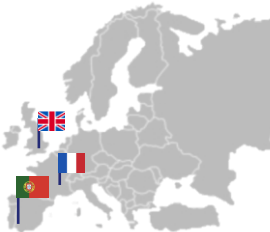
Products and Employees



Vertical integrated In-house manufactured UAS (AR1-AR5)



1,000+ Employees



Operations

- Portugal: Core R&D (HQ)
- UK: Key production & Operational hub
- France: Expanding Production and R&D

R&D

Multinational drills (NATO)

Rapid prototyping & testing

Innovations (ARX platform)

ISR services - Skies to space

Deployment tests in war (Ukraine)

Airfield test and training centers (UAV center)

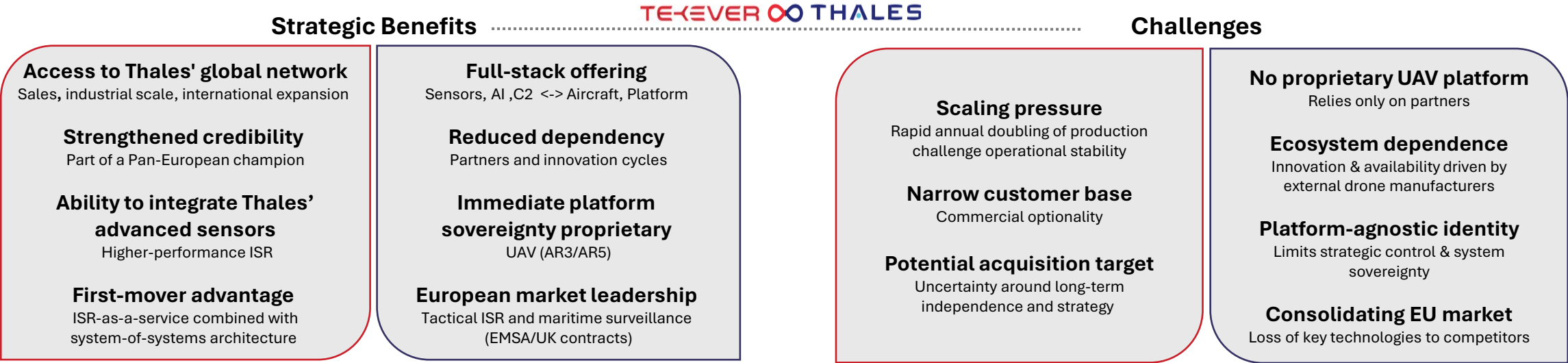
Key Takeaway

Tekever represents the type of platform-level acquisition that would elevate Thales...

From a systems integrator to a true European defense champion in unmanned and autonomous warfare.

Strategic Fit - Thales x Tekever

Creating a Vertically Integrated ISR Powerhouse: Sensors Meets Platforms



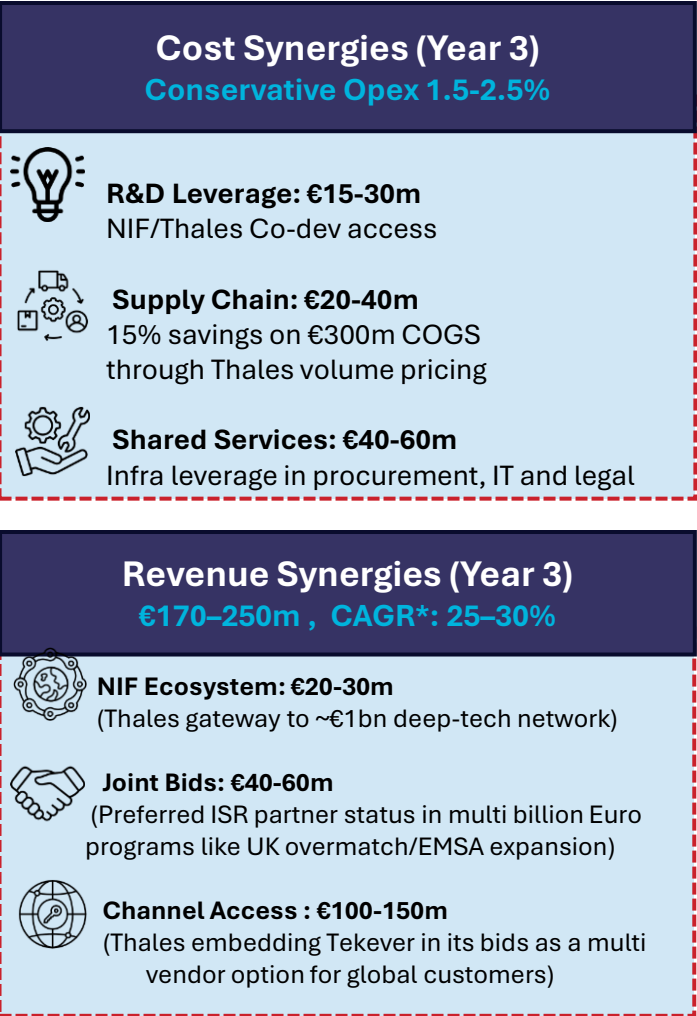
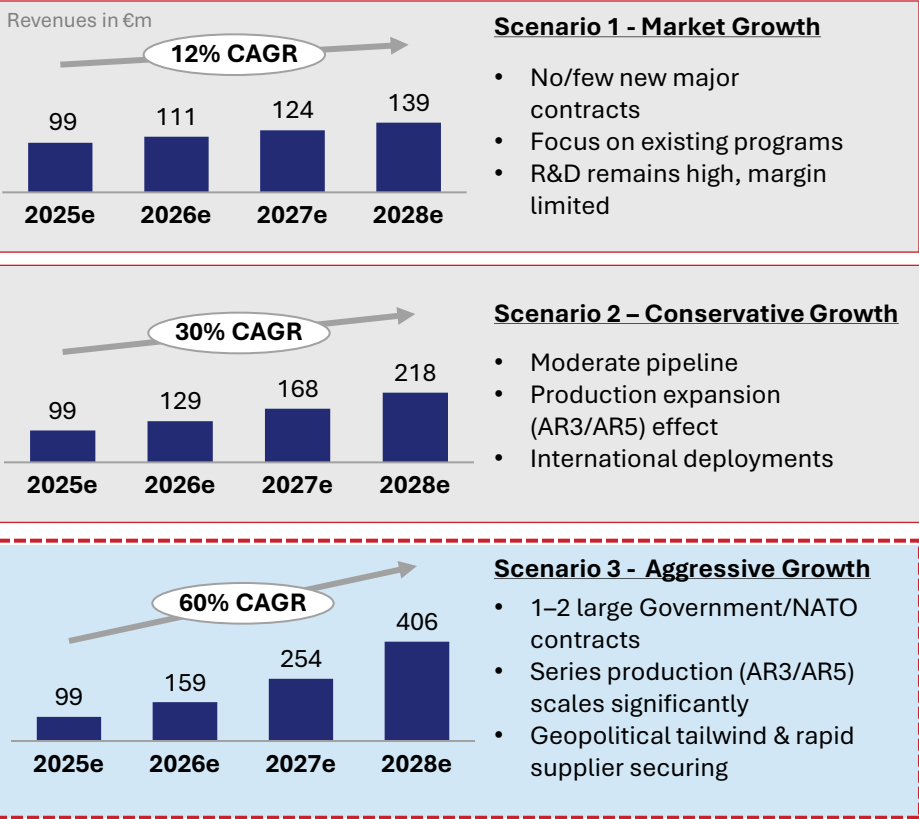
Revenue & Cost synergies

Financial Impact of Acquiring Tekever



Tekever is profitable and targets ~60% above-market growth, driven by scale-up of AR3/AR5 production and new government contracts...

Financial modelling is based on revenue-only scenarios, as Tekever does not publish margin or cash-flow data; projections reflect indicative top-line pathways derived from available disclosures and market signals.



Synergy estimates are directional & based on comparable defense transactions; final quantification requires full due diligence, see Appx.2

No factory / Headquarter merger.
50% lower than full integration
(preserves Agility)

A full acquisition that preserves Tekever’s independence as a Center of Excellence, delivers stronger revenue synergies than partnership & nearly matches full integration without maintaining agility and innovation.

*Projected based on UK Project OVERMATCH

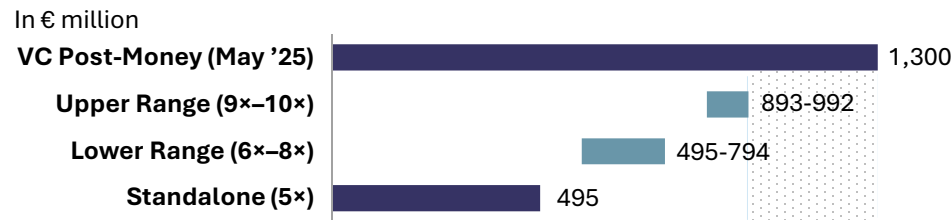
Sources: NATO Innovation Fund (2024), TEKEVER (2026)

Securing Global ISR Dominance

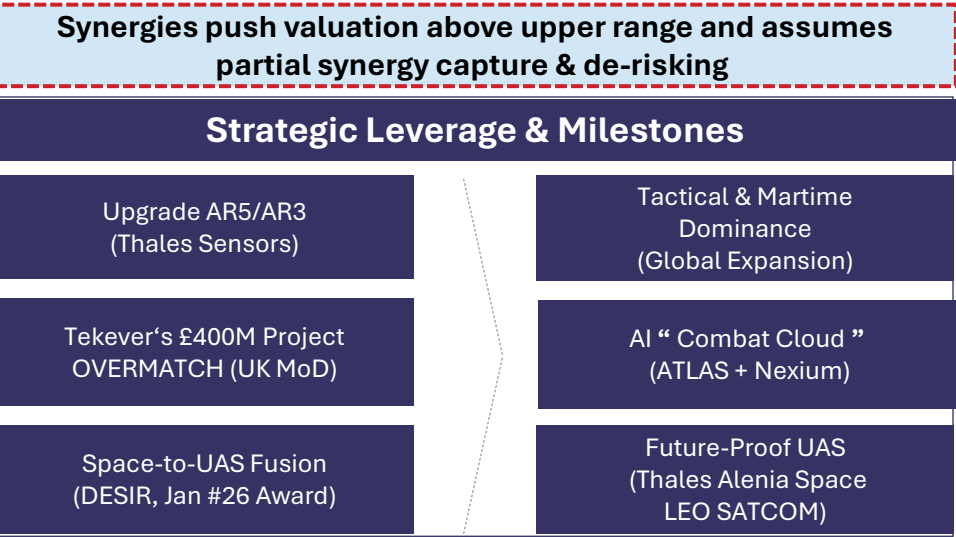
The Feasibility of a Potential Tekever Acquisition



Thales must consider expectations of Tekever’s current investors, especially since post-money valuation is estimated at ~ €1.3bn as of May '25



Revenue 2025e ~€99m; Stand-Alone based on UAS private multiples (~5x) vs. post-money discloser (~€1.3bn); ranges shown are preliminary, based on public & third-party information; further financial, commercial and technical due diligence required.

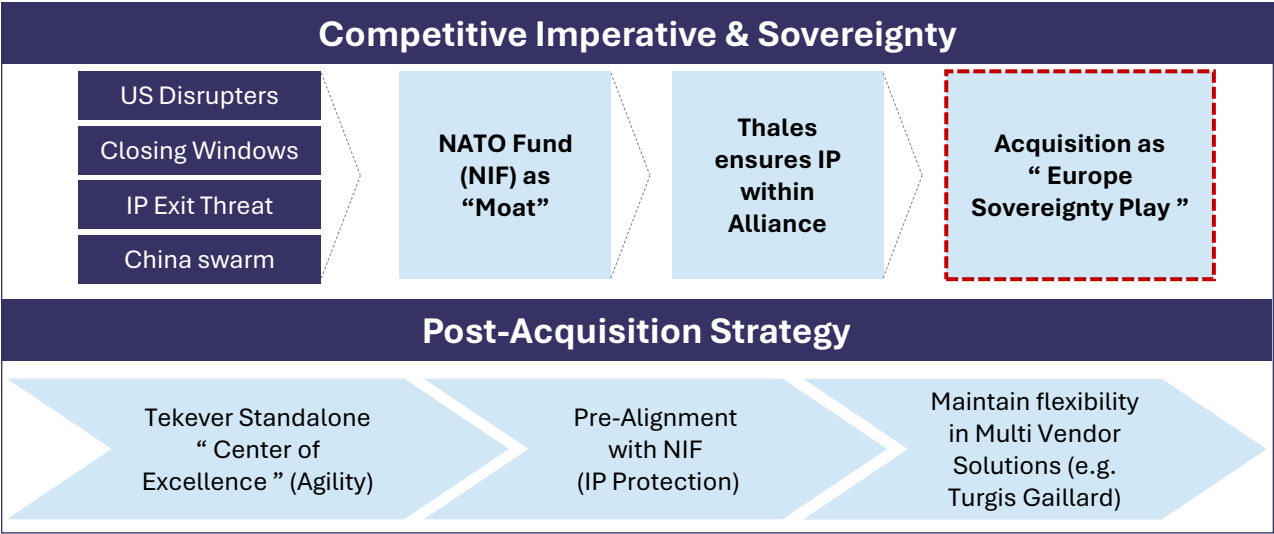


Official shareholders based on current publicly available data



Key Takeway

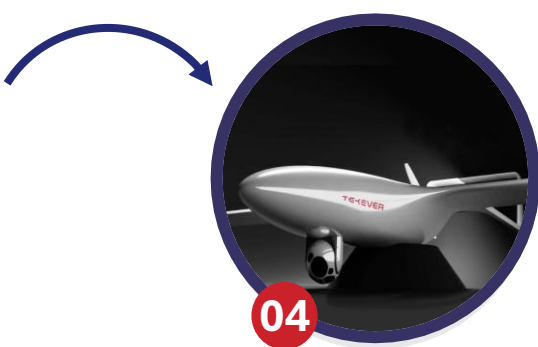
- Elite **NIF** and **NSSIF** backing de-risks Thales through NATO-protected IP and a **“fast-pass”** into high value programs.
- Secures strategic priority in high-value UK defense programs like **Project Overmatch** and **Project NYX**.



Acquisition installs Pan-European sovereignty & long-term global innovation leadership

Sources: TEKEVER (2026), Thales (2026)

By acquiring TEKEVER over merging with Rheinmetall, Thales secures commanding leadership in the €49.5bn ISR market whilst TEKEVER's vertical integration delivers battle-proven autonomous platforms that no merger could replicate. Together, they form the backbone of Europe's next Sovereign Defence Tech champion.



Future of Software-Defined Defense

- The global defense market is shifting from hardware to **software-defined autonomous mass**, where AI and Unmanned Aerial Systems are the primary force multipliers.
- ISR is a critical growth vertical, set to **reach €49.5bn by 2030**. Growth is further accelerated by a **15% CAGR** (2024–2035) in tactical hybrid UAVs.

Thales' Strategic Goals

- Thales is executing a **"System-of-Systems" strategy**, aiming to own the cognitive layer of warfare.
- The group prioritized high-margin electronics, avionics, and cybersecurity, **shifting focus away from capital-intensive "heavy metal"** production.

Why Rheinmetall Misaligns with Strategy

- With **€72.5bn intrinsic value**, it's 15× largest than Thales' ever deal (Gemalto), with 2–3 years of EPS dilution and synergies too thin to justify the premium.
- Hardware-volume manufacturing **dilutes Thales's software/AI/space identity**, which is growing at 20%+ CAGR and is the engine of its premium valuation.
- **Politically constrained** from the outset, a **5–7 year integration** consumes management focus at the exact moment agility and speed are mission-critical for Europe.

Why Tekever is a Better Alternative

- A rare **profitable unicorn** with an estimated **60% CAGR**, offering high-margin digital growth a capital-heavy Rheinmetall merger cannot match.
- Instantly secures the **Swindon Mega-Factory (€456m)**, providing Thales the industrial mass to lead NATO's autonomous production surge.
- Leverages **10,000+ combat hours** and **€3.4m in proven effects** to anchor Thales battle-hardened autonomous global superiority.

Appendix 1

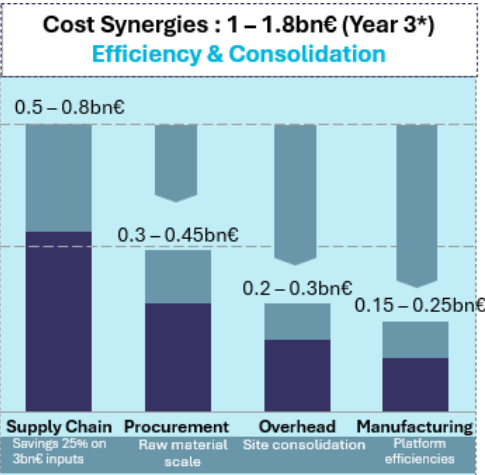
Detailed Cost and Revenue Synergy Assumptions for Thales – Rheinmetall Synergy



Cost and revenue synergies for Thales-Rheinmetall are estimated using defense sector M&A benchmarks Bain, McKinsey: 5-10% cost savings, 2-5% revenue uplift) applied to verified financials and proven collaboration precedents (MGCS JV, rocket teaming).

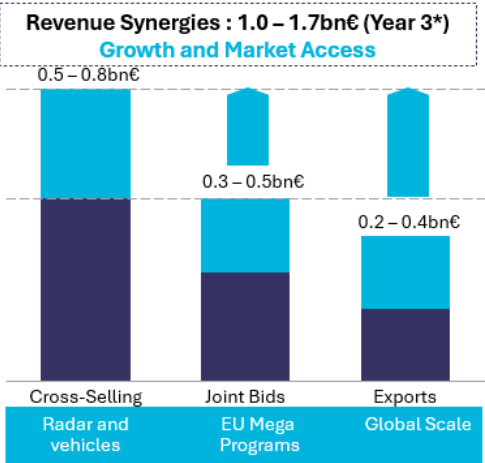
Cost Synergies: Bottom-Up Methodology

Category	Potential Savings	Rationale and Precedents
Supply Chain (40%)	€500–750m	Derived from 25% x 3 bn€ shared inputs x 70% realization. Precedent: ThalesRaytheonSystems JV optimized common procurement and manufacturing.
Procurement (25%)	€300–450m	Assumes 15-20% savings on 2 billion Euros of raw materials (steel, optics) via Thales' volume pricing leverage.
Overhead (20%)	€200m	Full capture of duplicate French and German corporate sites and administrative role consolidation.
Manufacturing (15%)	€150–250m	10-15% optimization through factory scale and shared tooling for land combat platforms.
TOTAL	€1.2-1.8bn	Based on an achievable 80% capture rate of the theoretical €1.5-2.1bn opex reduction.



Revenue Synergies: Opportunity Sizing

Category	Estimated Value	Accretion / Rationale
Cross-Selling	€500-800m	Integrating Thales' 10 billion Euro electronics portfolio into Rheinmetall's 5 billion Euro vehicle pipeline.
Joint Bids	€300 – 500m	0.5% capture of 100 billion Euro EU pipeline, including MGCS tank and Tiger MK3 upgrades.
Export Growth	€200 – 400m	Applying Rheinmetall's 35% growth rate to Thales' global distribution channels.
TOTAL	€1.0-1.7bn	Represents conservative 3-5% accretion compared to typical 7-12% technology M&A norms.



*70% of synergies is assumed to be realized by Year 3, consistent with defense and technology-sector M&A patterns. Cost and revenue synergies are based on market assumptions, with details provided in Appendix 1.

Appendix 2

Detailed Cost and Revenue Synergy Assumptions for Thales – Tekever Synergy



Cost Synergies:

Category	Estimated Value	Accretion / Rationale
Shared Services	€40–60m	Thales infra leverage in procurement, IT, and legal. No HQ merger preserves agility while providing a "Hub Fee" revenue stream for Thales.
Supply Chain	€20–40m	15% savings on estimated €300m COGS through Thales volume pricing on sensors/composites and NIF supplier alignment.
R&D Leverage	€15–30m	Access to Thales <i>cortAix</i> (800 experts) and €4bn annual R&D spend saves Tekever 20% vs. standalone 18% spend.

Revenue Synergies:

Category	Estimated Value	Accretion / Rationale
Channel Access	€100–150m	Integration of AR3/AR5 into Thales' €13.4B defense portfolio as a multi-vendor option for global customers (e.g., Rafale users).
Joint Bids	€40–60m	Preferred ISR partner status in multi-billion Euro programs like UK Overmatch and EMSA renewals.
NIF Pipeline	€20–30m	Thales as a gateway to the €1Bn NIF deep-tech network and Baillie Gifford-led growth intros.

Abbreviations & Disclaimer Currency



AI	Artificial Intelligence	GDP	Gross Domestic Product	S.A.	Société Anonyme
APC	Armored Personnel Carrier	GDELS	General Dynamics European Land Systems	SAFE	Security Action for Europe
AR1-AR5	Tekever Unmanned Aerial Systems platform series	GmbH	Gesellschaft mit beschränkter Haftung	SAMs	Surface-to-Air Missiles
AUKUS	Australia, United Kingdom, and United States security partnership	HII	Huntington Ingalls Industries	SAR	Synthetic Aperture Radar
AVIC	Aviation Industry Corporation of China	HQ	Headquarters	SATCOM	Satellite Communications
BAE	BAE Systems	ID	Identity	STEM	Science, Technology, Engineering, and Mathematics
bn€	Billion Euros	IDV	Iveco Defense Vehicles	SW	Software
BU	Business Unit	IFV	Infantry Fighting Vehicle	TAM	Total Addressable Market
C2	Command and Control	IP	Intellectual Property	TFEU	Treaty on the Functioning of the European Union
C4ISR	Command, Control, Communications, Computers, Intelligence, Surveillance, and Reconnaissance	ISR	Intelligence, Surveillance, and Reconnaissance	TTM	Trailing Twelve Months
CAGR	Compound Annual Growth Rate	IT	Information Technology	TV	Terminal Value
CASC	China Aerospace Science and Technology Corporation	ITAR	International Traffic in Arms Regulations	UAS	Unmanned Aerial Systems
CETC	China Electronics Technology Group Corporation	JADC2	Joint All-Domain Command and Control	UAV	Unmanned Aerial Vehicle
COGS	Cost of Goods Sold	JV	Joint Venture	US / U.S.	United States
CSSC	China State Shipbuilding Corporation	KNDS	KMW+Nexter Defense Systems	USD	United States Dollar
D&A	Depreciation and Amortization	KPI	Key Performance Indicator	VC	Venture Capital
DAX	Deutscher Aktienindex (German stock market index)	LASF	Team name (Lima-Alpha-Sphera-Foxtrot)	W&A	Weapon & Ammunition
DE	Deutschland (Germany)	LEO	Low Earth Orbit	WACC	Weighted Average Cost of Capital
DIS	Digital Identity & Security (Thales segment)	m€	Million €	Disclaimer Currency Unless otherwise stated, all figures in this presentation are shown in euros (€). Amounts originally denominated in U.S. dollars (USD) or British pounds (GBP) have been translated into euros using applicable exchange rates.	
E	Estimated	M&A	Mergers and Acquisitions		
EBIT	Earnings Before Interest and Taxes	MDAX	Mid-Cap-DAX		
EBITDA	Earnings Before Interest, Taxes, Depreciation, and Amortization	MGCS	Main Ground Combat System		
EDF	European Defence Fund	MoD	Ministry of Defense		
EDIP	European Defense Industry Programme	MSCI	Morgan Stanley Capital International		
EDIS	European Defense Industrial Strategy	NATO	North Atlantic Treaty Organization		
EMSA	European Maritime Safety Agency	NIF	NATO Innovation Fund		
EPS	Earnings Per Share	NOPAT	Net Operating Profit After Tax		
ESG	Environmental, Social, and Governance	NPV	Net Present Value		
EU	European Union	NVL	Naval Vessels Luerssen		
EV	Enterprise Value	OEM	Original Equipment Manufacturer		
eVTOL	electric Vertical Take-Off and Landing	opex	Operating Expenditure		
FCAS	Future Combat Air System	p.a.	per annum		
FCFF	Free Cash Flow to the Firm	PESCO	Permanent Structured Cooperation		
FDI	Foreign Direct Investment	PV	Present Value		
FR	France	R&D	Research and Development		
FY24 / FY25	Fiscal Year 2024 / 2025	RAF	Royal Air Force		
GCAP	Global Combat Air Programme	RHM	Rheinmetall AG stock symbol		
		ROS	Return on Sales		
		RTX	Raytheon Technologies		

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